Staff Report

Date: September 2, 2025

To: The Board of Education

From: Dana White

CC: Dr. Kimberlee Armstrong, Jon Franco, Tom Odgers

Subject: Center for Black Student Excellence/Purchase and Sale Agreement

BACKGROUND

In November 2020, voters approved bonds that included $60 million for investment in the Center for Black Student Excellence (CBSE). Following a multi-year community engagement effort, the CBSE Vision was created in 2023. (*See* 194-page Vision: https://drive.google.com/file/d/1M5FpAmLwpx4-p6y3gPXpNMPOKf623hMH/view.) Following the development of the Vision, PPS engaged in a search for properties in the Albina neighborhood to serve as the home for the CBSE where students, educators, and community members can convene and realize the Vision.

PPS has identified the One North property to serve as the CBSE home. It is located in the Albina neighborhood at 3506-3514 N. Vancouver Avenue and 25 N. Fremont, St. It was built in 2015 and comprises two buildings, together containing approximately 72,000 square feet of space. The negotiated purchase price for the property is $16 million. (PPS obtained an appraisal of the property in May 2025, estimating its value at $15.2 million.)

Staff seeks Board approval to enter into a Purchase and Sale Agreement (PSA) for the One North property, attached as Exhibit A.

ANALYSIS OF SITUATION

The proposed purchase of One North represents over four years of work to develop the Vision and programming for the CBSE. It is critical that the CBSE home be in Albina, and this building is centrally located in the Albina neighborhood. PPS could not build a building like the One North property for anywhere close to $16 million, and PPS expects the building to be largely move-in ready for many of its component uses. Other options explored by PPS, working with its commercial real estate broker, did not yield a better, more cost-effective option.

Once PPS executes the PSA, it will formally enter a robust due diligence process that will include assessment of:

- Physical and environmental inspections
- Property survey
- Suitability for PPS's intended use, including extent of remodeling required
- Data about building operations and existing tenants rent streams
    - As of 1/1/26, approximately 29% of the building will be occupied under current leases.
- Transportation and parking options
- Operating agreement for the common areas
- Title report

PPS will engage experts in the relevant areas, as needed, to assist with and advise on the due diligence. PPS's efforts will include (1) assessing requirements for anticipated uses of the

building in line with the CBSE Vision; (2) development of operating budgets and staffing plans for the building maintenance; (3) planning for collaborative space for community partners serving PPS students; and (4) review of title, surveys, and physical inspections.

After a 90-day due diligence period, the Board will vote on whether to proceed with the purchase based on the results of the extensive due diligence. In advance of that vote, the results of the due diligence assessments will be shared with the Board and community. Entering into the PSA at this time does not create a binding obligation for PPS to purchase the property. It does allow for PPS to conduct thorough due diligence and for the building to not be sold to any other purchaser during this time.

FISCAL IMPACT

The negotiated purchase price is $16 million, which will be funded by 2020 bond funds. In addition, PPS will incur transaction-related expenses as needed in consultant and legal fees to support the due diligence and negotiate and document the transaction. Costs of any needed improvements are not known at this time, but will be assessed during the due diligence period.

COMMUNITY ENGAGEMENT (IF APPLICABLE)

The community was engaged for multiple years to create the Vision for the CBSE, which informs the selection and uses of the building. PPS will continue to seek input on the One North property throughout the due diligence process through public Board and Committee meetings and other channels.

Exhibit A

PURCHASE AND SALE AGREEMENT

THIS PURCHASE AND SALE AGREEMENT (this "**Agreement**") dated as of September ___, 2025 (the "**Effective Date**"), is made by and between School District No. 1J, Multnomah County, Oregon, operating as Portland Public Schools ("**Purchaser**"), and Karuna Properties II LLC, an Oregon limited liability company ("**Karuna Seller**"), and Karuna Properties II West, LLC, an Oregon limited liability company ("**Karuna West Seller**" and together with the Karuna Seller, collectively and in the singular as the context may require, "**Seller**").

RECITALS:

A. Seller desires to sell certain improved real property located in Multnomah County, Oregon (being Tax Parcel Nos. R103332 and R103333), along with certain related property described below, and Purchaser desires to purchase such real and other property from Seller.

B. Seller and Purchaser, intending to be bound by this Agreement, desire to set forth herein the terms, conditions and agreements under and by which Seller shall sell and Purchaser shall purchase the property described below.

AGREEMENTS:

NOW, THEREFORE, in consideration of the mutual agreements and covenants contained herein and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, Seller and Purchaser agree as follows:

1. **THE PROPERTY**.

1.1. Description. Subject to the terms and conditions of this Agreement, and for the consideration set forth herein, Seller agrees to sell, assign and convey, and Purchaser agrees to purchase and acquire, all of Seller's right, title and interest, if any, in and to the following (collectively, the "**Property**"):

1.1.1. That (a) certain approximately 0.4167 parcel of land located in Multnomah County, Oregon, having a street address of 25 N Fremont St., Portland, Oregon 97227, and being more specifically described on Schedule 1.1.1(a), attached hereto ("**Karuna East Land**"), and (b) certain approximately 0.286 parcel of land located in Multnomah County, Oregon, having a street address of 3506 - 3514 N Vancouver Ave., Portland, Oregon 97227, and being more specifically described on Schedule 1.1.1(b) ("**Karuna West Land**" and together with the Karuna East Land, collectively, the "**Land**"), together with the buildings constructed thereon (the "**Buildings**") and all other infrastructure, improvements, parking facilities and fixtures located on the Land (the Buildings and any and all other improvements located on the Land are hereinafter referred to collectively as the "**Improvements**"), and all easements, hereditaments, appurtenances, and other benefits, if any, pertaining to or affecting the Land (collectively, the "**Easements**"). The Land, Buildings, Improvements, and Easements are hereinafter collectively referred to as the "**Real Property**".

1.1.2. All furniture, furnishings, fixtures, equipment and other tangible personal property, if any, affixed to and/or located at the Real Property as of the Effective Date and used in

connection with the Real Property, or replacements of those items permitted pursuant to this Agreement (specifically excluding any items of personal property owned by any tenants of the Land, the Buildings or the Improvements and excluding any items of personal property owned by third parties and leased to Seller) if any of the foregoing are located on the Land at the Closing Date (the "**Personal Property**").

1.1.3. Any and all leases, tenancies, licenses and other rights of occupancy or use of or for any portion of the Real Property, including all guaranties, security deposits, prepaid rents, amendments, renewals and extensions thereof (each, a "**Lease**," and collectively, the "**Leases**").

1.1.4. To the extent assignable or transferrable, any and all licenses, permits, authorizations, certificates of occupancy and other approvals that are in effect as of the Closing Date and necessary for the current use and operation of the Real Property (collectively, the "**Permits**").

1.1.5. Any and all zoning and development rights, entitlements, utility service capacity reservations and/or allocations that are in effect as of the Closing Date and relate to or benefit the Property (collectively, the "**Entitlements**").

1.1.6. Any and all manufacturer or service warranties, surveys, studies, and architectural or engineering plans and specifications that exist as of the Closing Date and relate to the Real Property or the Personal Property (collectively, the "**General Intangibles**").

1.1.7. If applicable, pursuant to Section 4.7 below, all of each Seller's memberships interests (the "**Membership Interests**") in and to Eco Commons, LLC, an Oregon limited liability company ("**Eco Commons**").

1.2. Agreement to Convey. Seller agrees to sell and convey, and Purchaser agrees to purchase and accept, on the Date of Closing (defined in Section 2.4 below): (a) fee title to the Land and the Improvements by way of a Statutory Special Warranty Deed from each Seller, to be executed and delivered by each Seller in respect to the applicable Real Property, and which shall each be subject to the Permitted Exceptions (defined in Section 3.9 below) affecting or encumbering the applicable Real Property; and (b) the remainder of the Property, by way of the assignment and assumption agreements, a quitclaim bill of sale and other instruments of conveyance described in this Agreement.

2. PURCHASE PRICE AND PAYMENT.

2.1. Purchase Price. The purchase price for the Property (the "**Purchase Price**") is Sixteen Million and 00/100 Dollars ($16,000,000.00).

2.2. Deposit.

2.2.1. Deposit. Within two (2) business day following the Effective Date, Purchaser shall, deposit in escrow with the Title Company (defined in Section 2.4 below) a promissory note for earnest money payable to Seller in the principal amount of Two Hundred Fifty Thousand and 00/100 Dollars ($250,000.00) (the "**Note**"). Within one (1) business day following expiration of the Due Diligence Period (defined in Section 3.1 below), the Note shall be converted

to cash and Purchaser shall, by federal wire transfer, deposit the sum of Two Hundred Fifty Thousand and 00/100 Dollars ($250,000.00) (the "**Deposit**") into the escrow account of the Title Company. If Purchaser fails to make the Deposit in accordance with the foregoing, by 5:00 p.m., Portland, Oregon time on the 1st business day following the expiration or earlier waiver of the Due Diligence Period, this Agreement shall automatically terminate and neither party shall thereafter have any further rights, obligations or liability hereunder, except as otherwise expressly set forth herein. Once deposited, and following expiration or earlier waiver of the Due Diligence Period (provided that Purchaser has not sooner terminated this Agreement), the Deposit shall be non-refundable to Purchaser but applicable to the Purchase Price, except as otherwise expressly set forth herein.

2.2.2. Maintenance of Deposit. Once delivered to the Title Company, the Deposit shall be held by the Title Company in a non-interest-bearing account. The Deposit shall be non-refundable, except as expressly set forth herein.

2.3. Payment of the Purchase Price at Closing. Purchaser shall pay to Seller the Purchase Price, on the Date of Closing, by federal wire transfer of immediately available funds to the Title Company. The Deposit shall be paid by the Title Company to Seller at Closing and credited against the Purchase Price. The Purchase Price shall also be subject to further adjustments for prorations and credits required to be made in accordance with Section 7 below.

2.4. Closing. The purchase and sale of the Property shall be consummated at closing (the "**Closing**") in escrow through the Title Company on the date that is thirty (30) days following the expiration of the Due Diligence Period (as the same may be extended, the "**Date of Closing**" or "**Closing Date**"); provided, however, Closing may be extended by either party by providing advance written notice, so long as Closing occurs on no less than twenty (20) days' notice and in any event **Closing shall not occur later than December 29, 2025**. Closing shall occur on the Date of Closing (as set forth in Section 8.4) at the offices of First American Title Insurance Company (the "**Title Company**"), whose address is 200 SW Market Street, Suite 250, Portland, Oregon 97201, Attn: Connie Haan, or at such other time and place as may be agreed to in writing by Seller and Purchaser.

3. INSPECTIONS AND APPROVALS.

3.1. Due Diligence Period; Inspections. Purchaser shall have a period of time (the "**Due Diligence Period**"), commencing on the Effective Date, and expiring at 11:59 p.m., Portland, Oregon time, on December 10, 2025, in which to conduct the inspections and studies described in this Section 3.

3.2. Access to the Property and Indemnification by Purchaser. During the Due Diligence Period and through Closing, Seller shall permit Purchaser and Purchaser's agents and representatives access to the Land and Improvements for the purpose of conducting such physical and environmental inspections of the Land and Improvements (collectively, the "**Inspections**") as Purchaser shall deem necessary to determine, in Purchaser's sole discretion, the suitability of the Land and Improvements for Purchaser's intended use. Before Purchaser enters the Land and Improvements to perform Inspections, Purchaser shall give Seller reasonable advance written notice and, at Seller's option, a representative of Seller may accompany Purchaser and/or

Purchaser's representative. In the event Purchaser desires to speak to an Existing Tenant (defined in Section 4.6 below) other than 1803 Fund, it may do so only if accompanied by a representative of Seller, provided that if an Existing Tenant is willing to speak to Purchaser, Seller must provide a representative to permit Purchaser to speak to such Existing Tenant. Purchaser agrees to be solely responsible for the conduct of Purchaser's agents and representatives on and adjacent to the Land and Improvements and shall assume and pay for all expenses incurred in connection with the Inspections. At all times during the presence of Purchaser or Purchaser's agents and representatives on the Land and Improvements, Purchaser agrees that Purchaser will not allow, and Purchaser's agents and representatives will not conduct, any physically invasive testing of, on, or under the Land or Improvements without first obtaining Seller's written consent and providing a scope of work for such testing to Seller for Seller's approval, not to be unreasonably withheld or delayed, but subject to such reasonable conditions as Seller may impose. Purchaser agrees to return the Land and Improvements to substantially the same condition and cleanliness existing before entry and/or occupation by Purchaser's agents and representatives, including, but not limited to, sealing wells or other similar subsurface investigations. Purchaser shall use reasonable efforts to minimize interference with Seller's and any tenants' use and occupancy of the Buildings, promptly pay when due the costs of all tests, investigations, and examinations performed by or for Purchaser with regard to the Property and not permit any liens to attach to the Property by reason of the exercise of Purchaser's rights hereunder. Purchaser shall keep confidential the names and identities of Existing Tenants and counterparties to Service Contracts, except as may otherwise be required by law (including without limitation the Oregon Public Records Law or the Oregon Public Meetings Law), by court order or by the Multnomah County District Attorney. Further, Purchaser may disclose confidential information to Purchaser's lenders, consultants, agents and representatives to the extent each needs to know confidential information for the sole purpose of evaluating the Land and Improvements, provided Purchaser takes all reasonable measures to assure that Purchaser's agents and representatives keep such information confidential. Subject to the limitations of the Oregon Constitution and the Oregon Tort Claims Act, Purchaser shall indemnify, defend and hold Seller harmless from any loss, injury, liability, damage or expense, including reasonable attorneys' fees and costs, directly caused by Purchaser, which Seller may incur as a result of (a) any act or omission of Purchaser or its agents or representatives arising in connection with any tests or inspections conducted by Purchaser or its agents or representatives, or (b) the failure of Purchaser to restore the Property in accordance with this Section 3.2; provided, however, that Purchaser shall not be required to indemnify Seller if and to the extent that any such loss, injury, liability, damage or expense was caused by the negligence or willful misconduct of Seller, its employees or its agents. The foregoing shall survive termination of this Agreement or the Closing, as applicable. For the avoidance of doubt, Purchaser maintains self-insurance coverage with regard to the first $1.1 million in potential claims and additional excess commercial general liability insurance in the amount of $9.9 million in coverage (collectively, the "**Purchaser Insurance**"), which such Purchaser Insurance shall be in full force and effect during the period in which Purchaser and its employees, consultants, agents, contractors or other representatives perform any due diligence activities upon the Real Property prior to Closing and will cover claims arising with regard to such activities hereunder. Furthermore, any consultants, agents, contractors or other representatives of Seller that are accessing the Real Property to assist Purchaser with its due diligence hereunder and are not governmental agencies or subdivisions shall, at their sole expense, keep and maintain a policy of commercial general liability insurance. Any such insurance policy shall afford protection in limits of not less than One Million Dollars ($1,000,000) on a per

occurrence and aggregate basis. With respect to any environmental investigation or any drilling, boring or invasive testing that may be permitted pursuant to the terms of this Agreement, Purchaser, or Purchaser's applicable consultant, agent, contractor or other representative, shall, at its sole expense, keep and maintain at all times that any such work is to be undertaken on the Property, contractor's pollution liability insurance policy limits of not less than One Million Dollars ($1,000,000) per occurrence and providing coverage to Seller for damages related to any pollution or contamination of the Property or its environment as a result of the activities of such party and/or Purchaser. Before consultants, agents, contractors or other representatives of Seller that are not governmental agencies or subdivisions enter the Property, Purchaser shall deliver to Seller certificates of any commercial general liability insurance coverage required hereunder. In addition, at least three (3) business days prior to the entry onto the Property for the purpose of performing any drilling, boring or invasive testing, Purchaser shall furnish to Seller a certificate of such contractor's pollution liability insurance coverage. All insurance shall be effected under standard form policies, issued by insurers of recognized responsibility authorized to do business in the State of Oregon and having a national rating of A-VII or better. All insurance shall be primary and non-contributing.

3.2.1. Purchaser agrees that it will conduct its own due diligence with respect to the environmental conditions at the Property, in accordance with this Section 3, and shall complete a timely Phase I environmental site assessment in accordance with ASTM E1527-21.

3.3. Delivery of Documents. Within ten (10) business days after the Effective Date, Seller or its representative will deliver for inspection the Property information materials relating to the Land and Improvements set forth on Schedule 3.3 attached hereto ("**Property Documents**"), to the extent such Property Documents are within Seller's actual possession or control or may be obtained by Seller after exercising commercially reasonable efforts, provided that Seller (i) will not be required to create any new Property Documents, and (ii) may deliver the Property Documents to Purchaser by way of a virtual data room or other electronic means. Seller is providing the Property Documents for Purchaser's information only, and as an accommodation to evaluate the transaction contemplated by this Agreement (the "**Transaction**").

3.4. Survey.

3.4.1. As part of the Property Documents, Seller shall deliver to Purchaser the most recent survey, if any, in its possession (the "**Existing Survey**"). If Purchaser desires an updated or new survey, Purchaser shall order such updated or new survey (the "**Survey**"), at its sole cost and expense. If Purchaser obtains a Survey, then Purchaser shall deliver a copy of the Survey to Seller promptly following receipt. On or before the date that is forty-five (45) days after the Effective Date, Purchaser shall deliver to Seller in writing any objections to any matters shown on the Existing Survey or the Survey, as applicable("**Objection Letter**"). Purchaser's failure to timely object to any such matters shall be deemed to constitute Purchaser's approval thereof.

3.4.2. If Purchaser timely objects to any matters shown on the Existing Survey or the Survey, as applicable, then Seller shall have until 5:00 p.m. on the date which is ten (10) business days after receipt of the Objection Letter (the "**Cure Date**") to agree in writing to cure before Closing, or decline to cure, Purchaser's objections to the Existing Survey or the Survey, as applicable. If Seller elects not to cure, or fails to timely respond to the Objection Letter, Seller

shall be deemed to have elected not to cure, in which event, Purchaser shall, on or before the date that is three (3) business days after the Cure Date, either (i) terminate this Agreement by delivery of written notice to Seller and Title Company, whereupon Title Company shall return the Note to Purchaser, Purchaser shall promptly return all copies of all Property Documents to Seller and thereupon neither party will have any further obligation or liability to the other party hereunder, except as otherwise expressly provided herein, or (ii) waive in writing its objection to the Existing Survey or the Survey, as applicable. Purchaser's failure to timely deliver to Seller and Title Company a written notice of termination or waiver of its objection to the Existing Survey or the Survey, as applicable, shall be deemed to constitute Purchaser's election to terminate this Agreement.

3.5. Title Commitments.

3.5.1. Prior to the Effective Date, Seller has delivered to Purchaser a Commitment for Title Insurance covering the Karuna East Land and a Commitment for Title Insurance covering the Karuna West Land (each, a "**Title Commitment**," and collectively, the "**Title Commitments**"), issued by the Title Company with respect to the respective portions of the Real Property, together with copies of any exceptions to title referenced therein. Seller shall be responsible for the cost of the Title Commitments, unless the Transaction does not close due to Purchaser's default, in which event Purchaser shall be responsible for the cost of the Title Commitments. The Title Commitments shall collectively set forth the status of title to the Real Property and all exceptions which would appear in an ALTA Owner's Policy (or Policies) of Title Insurance (as applicable, the "**Title Policy**"). On or before the date that is twenty (20) business days following the Effective Date, Purchaser shall deliver to Seller in writing any objections to matters shown in the Title Commitments. Purchaser's failure to timely object to any such matters shall be deemed to constitute Purchaser's approval thereof, and subject to the requirement to convey marketable title, any such matter shall then become a "**Permitted Exception**".

3.5.2. If Purchaser timely objects to any matters set forth in the Title Commitments, then Seller shall have until 5:00 p.m. on the Cure Date to agree in writing to cure before Closing, or decline to cure, Purchaser's objections to the Title Commitments. If Seller elects not to cure, or fails to timely respond to Purchaser's objections, Seller shall be deemed to have elected not to cure, in which event Purchaser shall, on or before the date that is three (3) business days after the Cure Date, either (i) terminate this Agreement by delivery of written notice to Seller and the Title Company, whereupon the Title Company shall return the Note to Purchaser, Purchaser shall promptly return all copies of all Property Documents to Seller, and thereupon neither party will have any further obligation or liability to the other party hereunder, except as otherwise expressly provided herein, or (ii) waive in writing its objection to the Title Commitments, in which event any such waived item shall become a Permitted Exception. Purchaser's failure to timely deliver to Seller and the Title Company a written notice of termination or waiver of its objection to the Title Commitments shall be deemed to constitute Purchaser's election to terminate this Agreement. Notwithstanding anything to the contrary contained herein, Seller shall, at or prior to Closing, satisfy any monetary liens against the Property ("**Required Monetary Liens**"), satisfy the lien of any mortgage or other security interest which Seller has placed on the Property, and satisfy all B-I requirements shown on the Title Commitments that pertain to Seller or the Property, such as providing proof of Seller's authority to execute the Deed and executing such typical affidavits and instruments to allow the Title Company to delete the

standard exceptions from Schedule B-II (excluding, however, standard survey exceptions which may only be deleted in the event Purchaser obtains a Survey).

3.5.3. Purchaser shall have the right to update the Title Commitments ("**Title Update**") at any time prior to Closing, and if the Title Update reveals any new title matters or liens which were not contained in the initial Title Commitments, then Purchaser shall have the right to provide notice of Purchaser's objection to such matters to Seller, and Seller shall, prior to Closing, notify Purchaser of which objections, if any, Seller elects to cure. Notwithstanding the foregoing, Seller shall remain obligated to cure the Required Monetary Liens upon the terms of Section 3.5.2 above. If Seller refuses to cure such objections (or if Seller fails to respond to Purchaser's objections which failure shall be deemed Seller's refusal to cure such objections), then Purchaser shall have the right to: (i) terminate this Agreement by notifying Seller thereof, the Deposit shall be refunded to Purchaser, and neither party shall have any further obligations under this Agreement other than those that expressly survive termination; or (ii) waive such objections and proceed to Closing with no resulting reduction in the Purchase Price unless Seller agrees in its sole discretion in writing to a Purchase Price reduction. Seller agrees to remove any exceptions or encumbrances to title which are created by Seller after the Effective Date and before the Closing Date at its sole cost and expense, unless Purchaser agrees in writing to accept the same, in which case Seller will have no obligation to remove such exceptions or encumbrances.

3.6. Purchaser's Acceptance or Rejection Prior to the Expiration of the Due Diligence Period. On or prior to the expiration of the Due Diligence Period, Purchaser may approve of its review of its Inspections and the Property Documents and the feasibility, including the economic feasibility of the purchase and planned use of the Property (including without limitation, (i) Purchaser's determination, following such internal and external studies and investigations as it deems prudent, that the Property is the optimal property to satisfy Purchaser's specific needs for additional premises, including the timing of the Property's availability given the various existing tenancies applicable to the Property; (ii) Purchaser's obtaining an opinion from Purchaser's bond counsel that bond funds are legally available to pay the Purchase Price and for anticipated remodeling, (iii) Purchaser's confirming that desired remodeling is available to Purchaser under terms acceptable to Purchaser; (iv) Purchaser's review and approval of an appraisal addressing the fair market value of the Property; (v) Purchaser's determination that adequate parking is available for the use of the Property for Purchaser's intended purpose and approval of the terms of related leases and subleases; (vi) Purchaser's review and approval of the operating agreement for Eco Commons (as it may be amended) or of the Replacement Agreement (as defined in Section 4.7); (vii) receipt from each Existing Tenant (other than from Existing Tenants on any Existing Lease that has expired or been terminated prior to Closing) of a Tenant Estoppel Certificate in the form attached hereto as Schedule 6.1.4 (or such form, if any, that is prescribed by each Existing Lease) certifying such matters as are acceptable to Purchaser; (viii) approval by Purchaser's Board of Education after due diligence is completed to make the Approval Election and close the Transaction) by giving written notice to Seller of its election (the "**Approval Election**") to proceed with the Transaction in its sole and absolute discretion. If Purchaser does not timely deliver the Approval Election on or before the expiration of the Due Diligence Period, then Purchaser shall be deemed to have terminated this Agreement, and then this Agreement will automatically terminate, Purchaser shall promptly return all copies of all Property Documents to Seller, the Title Company will return the Note to Purchaser, and thereupon neither party will have

any further obligation or liability to the other party hereunder, except as otherwise expressly provided herein.

3.7. Service Contracts. Seller shall cause all property management agreements, service, maintenance, supply or other contracts relating to the operation of the Property (collectively, the "**Service Contracts**") to be terminated effective as of the Closing Date, except any Service Contracts that Purchaser elects to assume.

3.8. Consents to Transfer. Purchaser and Seller will cooperate with one another and use commercially reasonable efforts to obtain any consent from third parties who have the right to consent to the transfer of any Permits, Entitlements, and/or General Intangibles that Purchaser elects to have assigned.

3.9. Permitted Exceptions. Purchaser shall accept title to the Property, subject to the following exceptions (the "**Permitted Exceptions**"):

3.9.1. Those matters affecting or relating to the title to, or the survey of, the Property: which are shown on the Title Commitments or as shown on the Existing Survey or the Survey, as applicable which Purchaser has otherwise approved or deemed to have approved pursuant to the terms of this Agreement, subject to the requirement of Seller to convey marketable title.

3.9.2. The lien of non-delinquent taxes, assessments and other usual and customary charges assessed against the owners of real property in the State of Oregon that are not due and payable as of the date of Closing.

3.9.3. All matters disclosed by the Property Documents and rights of tenants, as tenants only, under the Existing Leases (defined in Section 4.6 below).

3.9.4. All building and zoning laws, codes and regulations affecting the Property, including all special exceptions, conditions, site plan approvals, and other similar matters, if any, relating to the zoning of the Property.

4. **SELLER'S OBLIGATIONS PRIOR TO CLOSING**. Until Closing, Seller and/or Seller's agents or representatives shall:

4.1. Insurance. Keep the Property insured, in an amount sufficient to satisfy any co-insurance requirement or stipulation, against fire and other hazards covered by extended coverage endorsement and commercial general liability insurance against claims for bodily injury, death and property damage occurring in, on or about the Property.

4.2. Operation. Operate the Property in the ordinary course of business and deliver the Property to Purchaser at Closing in the condition existing as of the Effective Date, normal wear and tear and damage by casualty excepted. Seller shall not enter into or modify any agreement affecting title to the Property (unless Purchaser agrees to the same in its commercially reasonable discretion) and shall not initiate or consent to any change in zoning or other land use designation with respect to the Property. Notwithstanding the foregoing, notices of non-responsibility may be

posted and recorded with respect to any tenant improvements to the Property in accordance with ORS 87.030.

4.3. Notices. Provide to Purchaser, promptly upon the receipt thereof, any and all written notices relating to the Property received by Seller or its agents or representatives from Existing Tenants, any governmental or quasi-governmental instrumentality, insurance company, vendor or other party under any of the Service Contracts, or from any other entity or party, which notices are of a type not normally received in the ordinary course of Seller's business, or which may have a material effect upon the Property or result in a material change in a representation or warranty made by Seller hereunder.

4.4. Compliance with Agreements. Take all actions necessary to comply with all agreements, covenants, encumbrances and obligations affecting or relating to the Property and the ownership, operation and maintenance thereof. Seller shall pay all utility bills and other invoices and expenses relating to the Property, as and when the same become due.

4.5. New Service Contracts. Not enter into any Service Contracts that do not terminate on or before the Closing without Purchaser's prior written consent, which consent shall not be unreasonably withheld, conditioned or delayed.

4.6. Leases. The Leases in effect as of the Effective Date (the "**Existing Leases**") are listed on Schedule 4.6 attached hereto and the tenants thereunder are referred to herein as the "**Existing Tenants**." From and after expiration of the Due Diligence Period and funding and release of the Deposit, Seller will not enter into any new leases or modify, amend or terminate any Existing Leases, or incur or agree to incur any capital improvement expenses related to the Property in excess of $10,000.00 prior to Closing without Purchaser's approval, which shall not be unreasonably withheld, conditioned, or delayed.

4.7. Eco Commons. Make commercially reasonable efforts to (i) cause Eco Commons to be dissolved and (ii) facilitate and cooperate with Purchaser and the other member of Eco Commons to negotiate a tenancy-in-common or maintenance cost-sharing agreement (as the case may be) on terms acceptable to both parties addressing the maintenance of the courtyard adjacent to the Property (as applicable, a "**Replacement Agreement**"). Provided, however, that if Purchaser is unable obtain a Replacement Agreement and if all the conditions to Closing are satisfied or waived (including Purchaser's approval of the operating agreement for Eco Commons, as it may be amended), Seller shall assign, and Purchaser shall assume, the Membership Interests pursuant to a form of assignment of membership interests mutually agreed to by the parties and in accordance with the governing documents of Eco Commons.

4.8. Parking Lot Subleases. Seller shall cooperate in good faith with the negotiation of extensions of any subleases that Seller (and/or Eco Commons) may have entered into with Tenants of the Property regarding parking rights arising under that certain Parking Lot Lease Agreement originally dated September 13, 2013 (the "**Parking Lot Lease**"), between Eco Commons, as tenant, and Life Change Christian Center, an Oregon non-profit corporation, as lessor, as the same may have been amended from time to time (collectively, the "**Parking Lot Subleases**"). At Closing Seller shall assign the Parking Lot Subleases, if any, to Purchaser pursuant to a form of

assignment agreement mutually agreed to by the parties (the "**Parking Lot Sublease Assignment**")[1].

5. **REPRESENTATIONS AND WARRANTIES**.

5.1. By Seller. Seller represents and warrants to Purchaser, as of the Effective Date and as of the Closing Date, that:

5.1.1. Seller has the power, right and authority to enter into and perform all of the obligations required of Seller under this Agreement and the instruments and documents referenced herein, and to consummate the Transaction.

5.1.2. Seller has not entered into any other contracts for the sale of the Property, nor do there exist any rights of first refusal or options to purchase the Property, and Seller will not during the term of this Agreement enter into any such contracts or grant any such rights of first refusal or options, except for any contract for sale of the Property, right of first refusal or option to purchase the Property to which Purchaser has consented to in writing in Purchaser's sole discretion.

5.1.3. Seller has taken all requisite action and obtained, or will obtain prior to Closing, all requisite consents, releases and permissions in connection with entering into this Agreement and the instruments and documents referenced herein or required under any covenant, agreement, encumbrance, law or regulation with respect to the obligations required hereunder, and no consent of any other party is required for the performance by Seller of its obligations hereunder.

5.1.4. This Agreement is, and all agreements, instruments and documents to be executed and delivered by Seller pursuant to this Agreement shall be, duly authorized, executed and delivered by Seller. This Agreement is, and all agreements, instruments and documents to be executed and delivered by Seller pursuant to this Agreement are and shall be, valid and legally binding upon Seller and enforceable in accordance with their respective terms.

5.1.5. Neither the execution of this Agreement nor the consummation of the Transaction does now constitute or shall result in a breach of, or a default under, any agreement, document, instrument or other obligation to which Seller is a party or by which Seller or the Property may be bound.

5.1.6. No petition in bankruptcy (voluntary or otherwise), assignment for the benefit of creditors, or petition seeking reorganization or arrangement or other action under Federal or state bankruptcy law is pending against or, to the best of Seller's knowledge, contemplated by Seller.

5.1.7. There are no actions, suits, claims or other proceedings pending or, to the best of Seller's knowledge, threatened against Seller or the Property that could affect Seller's ability to perform its obligations when and as required under the terms of this Agreement.

[1] NTD: Subject to review of relevant Parking Lot Lease Agreement/subleases and discussion between the parties regarding plan for parking.

5.1.8. To Seller's actual knowledge, all material aspects of the Buildings, including the mechanical, electrical, and plumbing equipment and systems on the Property, are in good working order and repair, except for normal wear and tear, and will be mechanically and structurally sound and free from material defects in materials and workmanship.

5.1.9. To Seller's actual knowledge, the Property is not in material violation of applicable laws, ordinances or regulations and Seller has not received written notice from any governmental authority alleging that the Property is in material violation of applicable laws, ordinances or regulations, nor to Seller's actual knowledge has Seller's property manager delivered to Seller written notice from any governmental authority alleging such violation.

5.1.10. There are no actions, suits, claims or other proceedings pending or, to Seller's actual knowledge, threatened against Seller or the Property under any federal, state, or local laws regulating the discharge of hazardous or toxic materials or substances into the environment.

5.1.11. To Seller's actual knowledge, there is no hazardous substance, including asbestos, on the Property, except for those used in de minimis amounts for cleaning and maintenance at the Property and in compliance with applicable laws.

5.1.12. To Seller's actual knowledge, the Property does not include any underground storage tank.

5.1.13. To Seller's actual knowledge, the rent roll delivered to Purchaser as part of the Property Documents is true and correct in all material respects as of the date hereof.

5.1.14. The Existing Leases are enforceable against the lessees named therein and to Seller's actual knowledge, no party to the Existing Leases is in breach or default under any material obligation thereunder or any material provisions thereof.

5.1.15. There will be no tenant improvement costs or work allowances owing to any tenant or any lease commissions owing to any brokers with respect to the Existing Leases as of the Date of Closing.

5.2. Seller's Knowledge. As used in this Agreement, (i) the terms "to the best of Seller's knowledge" or "to Seller's actual knowledge" or "to Seller's knowledge" or similar terms shall mean to the current, actual knowledge of Eric D. Lemelson ("**Seller's Representative**"), without a duty to investigate other than to inquire with the property manager, without personal liability, and (ii) the terms "received by Seller" or "in Seller's possession" or similar terms shall mean actual receipt or possession by Seller's Representative or of which Seller's Representative is aware.

5.3. Waiver of Known Defects. Except to the extent a representation or warranty was knowingly inaccurate when made, notwithstanding any provision of this Agreement to the contrary, Seller shall have no liability in connection with this Agreement by reason of any breach or inaccuracy of a representation or warranty if, and to the extent that, such inaccuracy or breach is disclosed in writing to Purchaser prior to the expiration of the Due Diligence Period, and Purchaser elects, nevertheless, to consummate the Transaction. Prior to Closing. Seller agrees to

promptly notify Purchaser, in writing, if Seller discovers that any representation, though believed to be true when made, is, in fact, not true, or if facts and circumstances underlying Seller's representations, though true when made, have changed through no fault of Seller (such change, a "**Change**", and such notice, a "**Statement of Change**"). In the event of any such Change, Purchaser may either (i) terminate the Agreement by written notice to Seller, in which event the Note (if the Deposit has not been funded) shall be returned to Purchaser or the Deposit and, if funded, shall be refunded to Purchaser, Seller shall reimburse all of Purchaser's out-of-pocket expenses incurred in connection with this transaction, not to exceed $150,000, and the parties will have no further obligation under this Agreement other than those that expressly survive termination; or (ii) proceed to close the purchase and sale of the Property as set forth in this Agreement without a reduction in Purchase Price unless agreed to in writing by Seller in its sole discretion. Notwithstanding the foregoing, if Seller is able to cure, and in fact does cure any Change within ten (10) business days of providing Purchaser with a Statement of Change, but in all cases prior to Closing, then Purchaser may not terminate this Agreement under this Section. If Purchaser obtains actual knowledge that any representation of Seller was false, misleading, or inaccurate when given or has become false, misleading, or inaccurate but Purchaser nonetheless proceeds to close on the Property, the applicable representation will be deemed automatically modified to reflect the actual knowledge of Purchaser. Nothing contained herein shall be deemed to modify the limitations on Purchaser's remedies contained in Section 10 of this Agreement.

5.4. Survival. The representations and warranties set forth in this Section 5 shall survive Closing for a period of eighteen (18) months (the "**Survival Period**"), and no action or claim may be brought against Seller by Purchaser or any affiliate of Purchaser with respect to a breach of such representations or warranties or any action, suit or other proceedings commenced or pursued, for or in respect of any breach of any representation or warranty made by Seller in this Agreement from and after expiration of the Survival Period.

5.5. Limitation on Remedies. Notwithstanding anything herein to the contrary, if Purchaser discovers prior to Closing that one or more of the representations and warranties under the provisions of this Section 5 are false or untrue as of the Date of Closing, Purchaser's sole remedy will be to exercise its rights under the provisions of Section 5.3 and Section 10.3 hereof.

5.6. By Purchaser. Purchaser makes the representations and warranties to Seller set forth below in this Section 5.6 effective as of the Effective Date. Subject to the condition that this Agreement has not been terminated prior to the Closing Date in accordance with its terms and conditions, said representations and warranties shall be deemed to have been remade as of the Closing Date unless prior to the Closing Date Purchaser notifies Seller (a) that one or more of said representations and warranties are no longer accurate and will remain inaccurate as of the Closing Date, which notice shall describe with reasonable specificity the manner in which such representations and warranties are no longer accurate, and (b) that due to the nature of the facts underlying the inaccuracy Purchaser does not intend to consummate the purchase of the Property; in which case, Seller will elect to either (i) terminate the Agreement by written notice to Purchaser, in which event the Deposit shall be retained by Seller as liquidated damages in the manner contemplated by Section 10.1 of this Agreement (unless Purchaser was under no obligation to close the purchase due to a failure of a condition stated herein), and the parties will have no further obligation under this Agreement other than those that expressly survive termination; or (ii) proceed to close the purchase and sale of the Property as set forth in this Agreement, in which case the

applicable representation will be deemed automatically modified to reflect the manner in which such representations and warranties are no longer accurate.

5.6.1. Purchaser is a public school district, duly organized and validly existing under the laws of the State of Oregon.

5.6.2. Purchaser has taken all requisite action and obtained all requisite consents, releases and permissions in connection with entering into this Agreement and the instruments and documents referenced herein or required under any covenant, agreement, encumbrance, law or regulation with respect to the obligations required hereunder, and no consent of any other party is required for the performance by Purchaser of its obligations hereunder.

5.6.3. This Agreement is, and all agreements, instruments and documents to be executed and delivered by Purchaser pursuant to this Agreement have been or will be, duly authorized, executed and delivered by Purchaser. This Agreement is, and all agreements, instruments and documents to be executed and delivered by Purchaser pursuant to this Agreement are or will be, valid and legally binding upon Purchaser and enforceable in accordance with their respective terms.

5.6.4. Neither the execution of this Agreement nor the consummation of the Transaction does now constitute or will result in a breach of, or a default under, any agreement, document, instrument or other obligation to which Purchaser is a party or by which Purchaser may be bound, or any law, statute, ordinance, rule, governmental regulation or any writ, injunction, order or decree of any court or governmental body, applicable to Purchaser or to the Property.

5.6.5. No petition in bankruptcy (voluntary or otherwise), assignment for the benefit of creditors, or petition seeking reorganization or arrangement or other action under Federal or state bankruptcy law is pending against or, to Purchaser's actual knowledge, contemplated by Purchaser.

5.6.6. There are no actions, suits, claims or other proceedings pending or, to Purchaser's actual knowledge, contemplated or threatened against Purchaser that could affect Purchaser's ability to perform its obligations when and as required under the terms of this Agreement.

5.6.7. As of the Effective Date, Purchaser has the power, right and authority to enter into and perform all of the obligations required of Purchaser under this Agreement and the instruments and documents referenced herein, and, subject to further authorization by Purchaser's Board of Education to make the Approval Election and to consummate the Transaction. Upon such further approval, Purchaser will have the power, right and authority to consummate the Transaction.

5.7. Representation. Seller and Purchaser each represent to the other that it has had no dealings, negotiations, or consultations with any broker, representative, employee, agent or other intermediary in connection with the sale of the Property, except that Seller has retained the services of Nathan Sasaki of Apex Real Estate Partners ("**Seller's Broker**"), and Purchaser has retained the services of Kevin VandenBrink & Rhys Konrad of Macadam Forbes, Inc. ("**Purchaser's Broker**" and together with Seller's Broker, the "**Brokers**"). At Closing, Seller shall be responsible

for paying a fee to the Brokers equal to three percent (3.00%) of the final Purchase Price in the aggregate (the "**Brokerage Fee**") in accordance with a separate written agreement among the Brokers and Seller. Seller and Purchaser agree that each will indemnify, defend and hold the other free and harmless from the claims of any other broker(s), representative(s), employee(s), agent(s) or other intermediary(ies) claiming to have represented Seller or Purchaser, respectively, or otherwise to be entitled to compensation in connection with this Agreement or in connection with the sale of the Property. This mutual indemnity shall survive Closing and any termination of this Agreement. Notwithstanding the foregoing, Seller and Purchaser hereby acknowledge and agree that neither Seller's Broker nor Purchaser's Broker is a third-party beneficiary under this Agreement.

5.8. Property Condition.

5.8.1. Disclaimer. PURCHASER HEREBY ACKNOWLEDGES, WARRANTS AND AGREES THAT, EXCEPT AS OTHERWISE EXPRESSLY PROVIDED IN THIS AGREEMENT (INCLUDING THE CLOSING DOCUMENTS ATTACHED AS SCHEDULES HERETO): (I) PURCHASER IS EXPRESSLY PURCHASING THE PROPERTY IN ITS EXISTING CONDITION "AS IS, WHERE IS, AND WITH ALL FAULTS AND DEFECTS, LATENT OR PATENT, KNOWN OR UNKNOWN" AND SPECIFICALLY AND EXPRESSLY WITHOUT ANY WARRANTIES, REPRESENTATIONS OR GUARANTEES, EITHER EXPRESS OR IMPLIED, OF ANY KIND, NATURE, OR TYPE WHATSOEVER FROM OR ON BEHALF OF SELLER WITH RESPECT TO ALL FACTS, CIRCUMSTANCES, CONDITIONS AND DEFECTS; (II) SELLER HAS NO OBLIGATION TO INSPECT FOR, REPAIR OR CORRECT ANY SUCH FACTS, CIRCUMSTANCES, CONDITIONS OR DEFECTS OR TO COMPENSATE PURCHASER FOR SAME; (III) SELLER HAS SPECIFICALLY BARGAINED FOR THE ASSUMPTION BY PURCHASER OF ALL RESPONSIBILITY TO INSPECT AND INVESTIGATE THE PROPERTY AND OF ALL RISK OF ADVERSE CONDITIONS AND HAS STRUCTURED THE PURCHASE PRICE AND OTHER TERMS OF THIS AGREEMENT IN CONSIDERATION THEREOF; (IV) PURCHASER IS AND WILL BE RELYING STRICTLY AND SOLELY UPON SUCH INSPECTIONS AND EXAMINATIONS AND THE ADVICE AND COUNSEL OF ITS OWN CONSULTANTS, AGENTS, LEGAL COUNSEL AND OFFICERS AND PURCHASER IS AND WILL BE FULLY SATISFIED THAT THE PURCHASE PRICE IS FAIR AND ADEQUATE CONSIDERATION FOR THE PROPERTY; (V) SELLER IS NOT MAKING AND HAS NOT MADE ANY WARRANTY OR REPRESENTATION WITH RESPECT TO ANY MATERIALS OR OTHER DATA PROVIDED BY SELLER TO PURCHASER (WHETHER PREPARED BY OR FOR SELLER OR OTHERS) OR THE EDUCATION, SKILLS, COMPETENCE OR DILIGENCE OF THE PREPARERS THEREOF OR THE PHYSICAL CONDITION OR ANY OTHER ASPECT OF ALL OR ANY PART OF THE PROPERTY AS AN INDUCEMENT TO PURCHASER TO ENTER INTO THIS AGREEMENT AND THEREAFTER TO PURCHASE THE PROPERTY OR FOR ANY OTHER PURPOSE; AND (VI) BY REASON OF ALL THE FOREGOING, PURCHASER ASSUMES THE FULL RISK OF ANY LOSS OR DAMAGE OCCASIONED BY ANY FACT, CIRCUMSTANCE, CONDITION OR DEFECT PERTAINING TO THE PROPERTY.

SELLER HEREBY DISCLAIMS ALL WARRANTIES OF ANY KIND OR NATURE WHATSOEVER (INCLUDING, WITHOUT LIMITATION, WARRANTIES OF CONDITION,

MERCHANTABILITY, HABITABILITY AND FITNESS FOR PARTICULAR PURPOSES), WHETHER EXPRESSED OR IMPLIED, INCLUDING, WITHOUT LIMITATION, WARRANTIES WITH RESPECT TO THE PROPERTY, TAX LIABILITIES, ZONING, LAND VALUE, SUBDIVISION OR LAND USE, AVAILABILITY OF ACCESS OR UTILITIES, INGRESS OR EGRESS, GOVERNMENTAL APPROVALS, OR THE SOIL CONDITIONS OF THE LAND.

FURTHER AND WITHOUT IN ANY WAY LIMITING ANY OTHER PROVISION OF THIS AGREEMENT, EXCEPT AS OTHERWISE EXPRESSLY PROVIDED IN THIS AGREEMENT (INCLUDING THE CLOSING DOCUMENTS ATTACHED AS SCHEDULES HERETO), SELLER MAKES NO WARRANTY WITH RESPECT TO THE PRESENCE ON OR BENEATH THE LAND (OR ANY PARCEL IN PROXIMITY THERETO) OF HAZARDOUS MATERIALS. BY ACCEPTANCE OF THIS AGREEMENT AND THE DEEDS, PURCHASER ACKNOWLEDGES THAT PURCHASER'S OPPORTUNITY FOR INSPECTION AND INVESTIGATION OF THE LAND (AND OTHER PARCELS IN PROXIMITY THERETO) HAS BEEN ADEQUATE TO ENABLE PURCHASER TO MAKE PURCHASER'S OWN DETERMINATION WITH RESPECT TO THE PRESENCE ON OR BENEATH THE LAND (AND OTHER PARCELS IN PROXIMITY THERETO) OF SUCH HAZARDOUS MATERIALS.

5.8.2. Acknowledgment of Inspection. Purchaser acknowledges and agrees that: (a) prior to the expiration of the Due Diligence Period, Purchaser will have an opportunity to inspect the Property; (b) if the Transaction is consummated, Purchaser will be purchasing the Property pursuant to Purchaser's independent examination, study, inspection and knowledge of the Property; and (c) Purchaser is relying upon its own determination of the value and condition of the Property and not on any information provided or to be provided by Seller. Purchaser is relying solely upon its own inspections, investigations, research and analyses in entering into this Agreement and is not relying in any way upon any representations or warranties (except those expressly provided in Section 5 or any Closing Document attached as a schedule hereto), statements, plans, specifications, cost estimates, studies, reports, descriptions, guidelines or other information or material furnished by Seller or its representatives to Purchaser or its representatives, whether oral or written, express or implied, of any nature whatsoever regarding any such matters.

5.8.3. SURVIVAL. THE ACKNOWLEDGEMENTS AND AGREEMENTS OF PURCHASER SET FORTH IN THIS SECTION 5 WILL SURVIVE THE CLOSING.

6. **CONDITIONS PRECEDENT TO CLOSING**.

6.1. Conditions for the Benefit of Purchaser. The obligation of Purchaser to consummate the conveyance of the Property hereunder is subject to the full and complete satisfaction or waiver of each of the following conditions precedent:

6.1.1. The representations and warranties of Seller contained in this Agreement shall be true, complete and accurate in all material respects, on and as of the date hereof and the Date of Closing as if the same were made on and as of such date.

6.1.2. Seller shall have performed each and every obligation and covenant of Seller to be performed hereunder unless performance thereof is waived by Purchaser.

6.1.3. There has been no material and adverse change to the condition of the Property since the Effective Date, provided that any change in condition due to casualty or condemnation shall be controlled by the provisions of Section 9.

6.1.4. Seller will exercise commercially reasonable efforts to obtain a Tenant Estoppel Certificate in substantially the form attached hereto as Schedule 6.1.4 (or such form, if any, that is prescribed by each Existing Lease) and dated within thirty (30) days of the Date of Closing, from all Existing Tenants and will endeavor to deliver the Tenant Estoppel Certificates no later than fifteen (15) days prior to the Date of Closing; provided, however, that if any Existing Lease has expired or been terminated prior to Closing, the Tenant Estoppel Certificate with respect to such Existing Lease will not be required.

6.1.5. Title Company shall have delivered to Purchaser a pro-forma Title Policy, irrevocably committing to issue the Title Policy with only the Permitted Exceptions as exceptions to title.

6.1.6. No litigation has been threatened or is pending against Purchaser that pertains to Purchaser's purchase of the Property.

6.1.7. Approval by Purchaser's Board of Education prior to the expiration of the Due Diligence Period to make the Approval Election and to proceed to close the Transaction.

6.2. Waiver of Conditions for the Benefit of Purchaser. Purchaser shall have the right to waive some or all of the foregoing conditions in its sole and absolute discretion; provided, however, that no such waiver shall be effective or binding on Purchaser unless it is in writing and executed by an authorized officer of Purchaser. Notwithstanding the foregoing, in the event any of the conditions set forth in Section 6.1 have not been satisfied by the Closing Date, Purchaser shall have the option of terminating this Agreement by providing notice thereof to Seller, in which event this Agreement shall terminate, the Deposit shall be refunded to Purchaser, and neither party shall have any further obligations under this Agreement except for those that expressly survive termination.

6.3. Conditions for the Benefit of Seller. The obligation of Seller to consummate the conveyance of the Property hereunder is subject to the full and complete satisfaction or waiver of each of the following conditions precedent:

6.3.1. Receipt by Seller prior to the expiration of the Due Diligence Period of all requisite approvals including all other approvals that may be required pursuant to any documents which govern Seller.

6.3.2. The representations and warranties of Purchaser contained in this Agreement shall be true and accurate in all material respects, on and as of the effective dates when as stated in Section 5.6.

6.3.3. Purchaser shall have performed each and every obligation and covenant of Seller to be performed hereunder unless performance thereof is waived by Seller.

6.4. Waiver of Conditions. Seller shall have the right to waive some or all of the foregoing conditions in its sole and absolute discretion; provided, however, that no such waiver shall be effective or binding on Seller unless it is in writing and executed by an authorized officer of Seller. Notwithstanding the foregoing, in the event any of the conditions set forth in Section 6.3 have not been satisfied by the Closing Date, Seller shall have the option of terminating this Agreement by providing notice thereof to Purchaser, in which event this Agreement shall terminate, the Deposit shall be retained by Seller, and neither party shall have any further obligations under this Agreement except for those that expressly survive termination.

7. CLOSING COSTS AND PRORATIONS.

7.1. Purchaser's Costs. Purchaser will pay the following costs of closing the Transaction:

7.1.1. The cost of recording the Deeds (defined in Section 8.1.1 below);

7.1.2. All premiums at the promulgated rate, fees and costs associated with the issuance of any endorsements to the Title Policy (except endorsements obtained by Seller to cure title objections and/or survey objections as referred to in Section 3) or any additional premium for the issuance of an ALTA extended coverage owner's policy of title insurance that exceeds the premium for the Title Policy, as well as for all premiums, fees and costs associated with the issuance of a mortgagee title insurance policy required by Purchaser or Purchaser's lender, if any;

7.1.3. The cost of the Survey;

7.1.4. The fees and disbursements of Purchaser's counsel and any other expense(s) incurred by Purchaser or its agents and representatives in inspecting or evaluating the Property or closing the Transaction;

7.1.5. Any and all costs and expenses in connection with obtaining financing for the purchase of the Property, if any, including without limitation any documentary stamp, intangible or transfer taxes required to be paid upon the recordation of any mortgage or other security agreement executed and recorded in connection with such financing;

7.1.6. Any sales taxes payable with respect to any personal property, if any, included within the Property; and

7.1.7. One-half (1/2) of the escrow and settlement fees and charges of the Title Company due in connection with the closing of the Transaction (the foregoing escrow and settlement fees and charges exclude, however, search fees and recording charges).

7.2. Seller's Costs. Seller will pay the following costs of closing the Transaction:

7.2.1. All premiums, fees and costs associated with the issuance of the Title Policy, including the costs of any endorsements obtained by Seller to cure title objections and/or survey objections as referred to in Section 3;

7.2.2. One-half (1/2) of the escrow and settlement fees and charges of the Title Company due in connection with the closing of the Transaction;

7.2.3. The fees and disbursements of Seller's counsel;

7.2.4. All release fees and other charges required to be paid in order to satisfy all monetary liens against the Property and release from the Property the lien of any mortgage or other security interest which Seller is obligated to remove pursuant to the terms of this Agreement;

7.2.5. All documentary stamp or transfer taxes due upon recording the Deeds;

7.2.6. The Brokerage Fee referred to in Section 5.7, above; and

7.2.7. All premiums, fees and costs associated with the issuance of a Seller's policy of title insurance.

7.3. Prorations. All collected revenues and expenses, including, but not limited to, collected rents and any other amounts paid by the tenants under the Leases, personal property taxes, current installment payments of special assessment liens, association charges, sewer charges, utility charges, reimbursement of maintenance and repair expenses and normally prorated operating expenses paid as of the Date of Closing shall be prorated as of 11:59 p.m., Portland, Oregon time, on the day before the Date of Closing (the "**Adjustment Time**") and shall be adjusted against the Purchase Price due at Closing. No post-closing re-prorations shall occur.

Notwithstanding the foregoing: (i) rents and any other amounts paid by the tenants under the Leases shall be prorated based upon collected rents and other amounts payable by the tenants under the Leases actually received as of the day before Closing; (ii) Purchaser shall have the exclusive right post-Closing to seek payment of rents and any other amounts payable by the tenants under the Leases which as of the time of Closing are past-due and shall use reasonable efforts to collect any such delinquent rents on Seller's behalf; and (iii) if Seller or Purchaser receives rents or any other amounts payable by the tenants under the Leases which are attributable to a period when the Property was owned by the other party, then it shall promptly forward such rents to the other party. Rents and any other amounts payable by the tenants under the Leases received by Purchaser following Closing shall first be applied to the payment of current rental obligations and other current amounts payable by the tenants under the Leases, with any excess being paid to Seller for past-due rents and other amounts payable under the Leases accruing prior to Closing. Purchaser acknowledges that it shall be responsible for the annual reconciliations of common area expenses, percentage rents, operating expenses and other amounts under the Leases, without responsibility for returning any overages to Seller and without the right of reimbursement from Seller for any shortfalls. The provisions of this paragraph shall survive the Closing.

7.3.1. Seller and Purchaser shall in good faith attempt to have all utility and other services for which the charges are based upon usage billed or read as of a time as close to the Adjustment Time as is reasonable. If a precise billing or reading as of the Adjustment Time is not

available at Closing with respect to any such contract, then the foregoing adjustment shall be made, by payment or credit at Closing, by pro-rating to the Adjustment Time from the latest billing or reading then available. At Closing, Purchaser shall pay Seller the amount of any Seller prepaid expenses related to the Property, if any. At Closing, Seller shall pay or credit Purchaser with any prepaid rent or revenue, all security deposits received under the Leases and the amounts of any reserves related to the operating expenses and common area maintenance charges applicable to the Property. No post-closing re-prorations shall occur.

7.3.2. Seller shall close out any accounts with utility companies and shall have the right to receive any and all deposits held on behalf of Seller by utility companies with respect to the Property.

7.3.3. Each Party shall pay their own attorneys' and accountants' fees in connection herewith.

7.4. Taxes. Current city, county and/or state ad valorem real property taxes affecting the Real Property shall be prorated between Purchaser and Seller as of the Closing Date. Seller shall be responsible for payment of any special assessments that have become a lien on the Property prior to Closing unless objected to in accordance with Section 3.5.3, except that any special assessments payable in installments and not objected to shall be paid as follows: special assessment installments due on or before Closing shall be paid by Seller and installments due after the Date of Closing shall be paid by Purchaser. No post-closing re-prorations shall occur.

7.5. In General. Any other costs or charges of closing the Transaction not specifically mentioned in this Agreement shall be paid and adjusted in accordance with local custom or ordinance in the jurisdiction in which the Property is located.

7.6. Purpose and Intent. Except as expressly provided herein, the purpose and intent as to the provisions of prorations and apportionments set forth in this Section 7 and elsewhere in this Agreement is that Seller shall bear all expenses of ownership and operation of the Property during its period of ownership and shall receive all income therefrom accruing through midnight of the day preceding the Closing and Purchaser shall bear all such expenses and receive all such income accruing thereafter.

8. CLOSING AND ESCROW.

8.1. Seller's Deliveries. Seller shall deliver at the Closing the following original documents, each executed and, if required, acknowledged:

8.1.1. A statutory special warranty deed from each Seller, each in the form attached hereto as Schedule 8.1.1 (the "**Deeds**"), conveying title to Purchaser of the Real Property, subject only to the Permitted Exceptions.

8.1.2. An assignment of the Leases from each Seller by way of an assignment and assumption agreement in the form attached hereto as Schedule 8.1.2 (the "**Assignment and Assumption Agreement - Leases**"), conveying to Purchaser Seller's right, title and interest in and to the Leases.

8.1.3. An assignment of the Permits, Entitlements, and General Intangibles from each Seller by way of an assignment and assumption agreement in the form attached hereto as Schedule 8.1.3 (the "**Assignment and Assumption Agreement – Intangible Property**"), conveying to Purchaser Seller's right, title and interest in and to the Permits, Entitlements, and General Intangibles.

8.1.4. The Parking Lot Sublease Assignment, if required.

8.1.5. Originals (to the extent in Seller's possession) of all warranties then in effect, if any, with respect to the Property or to the Improvements or any repairs or renovations to such Improvements, and an assignment of all such warranties and guarantees being conveyed hereunder, conveying to Purchaser Seller's rights, title and interests in and to the warranties attributable to the Property.

8.1.6. An affidavit pursuant to the Foreign Investment and Real Property Tax Act.

8.1.7. Appropriate evidence of authority, capacity and status of Seller as reasonably required by Title Company.

8.1.8. An "Owner's affidavit", in form reasonably acceptable to the Title Company and sufficient for the Title Company to satisfy all requirements to issue the Title Policy (including such endorsements to the Title Policy as may be requested by Purchaser) and to delete the standard exceptions from the Title Policy, including any exceptions for (a) mechanics' or materialmen's liens arising from work at the Property, (b) parties in possession, other than tenants as tenants only under the Leases, and, (c) matters not shown in the public records.

8.1.9. A settlement statement (the "**Settlement Statement**"), prepared by the Title Company.

8.1.10. A bill of sale in the form attached hereto as Schedule 8.1.10 (the "**Bill of Sale**") transferring to Purchaser all of Seller's right, title and interest in the Personal Property.

8.1.11. Notice to the Existing Tenants under the Existing Leases advising such Existing Tenants of new ownership and directing tenants as to any change in address for the payment of rents in the form attached hereto as Schedule 8.1.11 (each a "**Tenant Notice Letter**"), provided that if any Existing Lease has expired or been terminated prior to Closing, neither an Assignment and Assumption Agreement – Lease, nor a Tenant Notice Letter will be required with respect to such Existing Lease.

8.1.12. a certificate of taxes paid pursuant to ORS 311.411.

8.1.13. Such other documents, certificates and other instruments as may be reasonably required to consummate the Transaction.

8.1.14. All keys, access cards, security codes, and other such access or security instruments related to the Property.

8.1.15. Evidence of termination of the Service Contracts, except those assigned to and assumed by Purchaser.

8.2. Purchaser's Deliveries. At the Closing, Purchaser shall (a) pay Seller the Purchase Price as required by, and in the manner described in, Section 2 hereof, and (b) execute and deliver the following documents:

8.2.1. The Assignment and Assumption Agreement – Lease, if required.

8.2.2. The Assignment and Assumption Agreement – Intangible Property.

8.2.3. The Parking Lot Sublease Assignment, if any.

8.2.4. The Deeds.

8.2.5. Evidence of Purchaser's authority, and the authority of the person executing any documents at Closing on behalf of Purchaser, acceptable to Seller and the Title Company, to enter into the Transaction.

8.2.6. The Settlement Statement.

8.2.7. Such other documents, certificates and other instruments as may be reasonably required to consummate the Transaction.

8.3. Possession. Purchaser shall be entitled to possession of the Property at the conclusion of the Closing, subject to the rights of the Existing Tenants pursuant to the Existing Leases.

8.4. Escrow Closing. Purchaser and Seller (or their respective counsel on behalf of Purchaser and Seller) shall execute letters of escrow closing instructions (the "**Closing Instructions**") which will provide that, on the Date of Closing: (a) Seller and Purchaser shall each deposit with the Title Company all of the documents and instruments described in Sections 8.1 and 8.2, above (the "**Closing Documents**"); and (b) Purchaser shall deposit with the Title Company the balance of the Purchase Price required to be paid after application of the Deposit thereto and all prorations, adjustments and credits required to be made under this Agreement, (the "**Adjusted Purchase Price**"), all of which shall be set forth on, and mutually agreeable pursuant to, the Settlement Statement executed by both Purchaser and Seller at Closing. Upon receipt of the Adjusted Purchase Price, and the satisfaction of all other conditions set forth in the Closing Instructions, the Title Company shall be authorized and directed to disburse the Adjusted Purchase Price to Seller or its designee(s), record the Deeds in the Multnomah County, Oregon public records and release the remaining Closing Documents to the appropriate parties, all in strict accordance with the Closing Instructions.

9. DAMAGE, DESTRUCTION AND CONDEMNATION.

9.1. Casualty. Except as provided herein, Seller assumes all risk of loss or damage to the Property by fire or other casualty until the Property is conveyed to Purchaser. If at any time on or prior to the Date of Closing any portion of the Property is destroyed or damaged as a result

of fire or any other cause whatsoever, Seller shall promptly give written notice thereof to Purchaser. If the estimated cost to repair the damage or destruction exceeds ten percent (10%) of the Purchase Price as reasonably estimated by Seller, Purchaser shall have the right to terminate this Agreement by written notice to Seller within ten (10) days following the date upon which Purchaser receives Seller's written notice of the destruction or damage, whereupon the Title Company shall release the Deposit to Purchaser, Purchaser shall promptly return all copies of all Property Documents to Seller, and thereupon neither party will have any further obligation or liability to the other party hereunder, except as otherwise expressly provided herein. If Purchaser does not elect to so terminate this Agreement within said ten (10) day period, or if the cost of repair is equal to or less than ten percent (10%) of the Purchase Price, this Agreement shall remain in full force and effect and the parties shall proceed to Closing without any reduction or adjustment in the Purchase Price, except that all net insurance proceeds, if any, will be assigned to Purchaser.

9.2. Condemnation. In the event, at any time on or prior to the Date of Closing, any action or proceeding is filed, under which the Property, or any portion thereof, may be taken pursuant to any law, ordinance or regulation or by condemnation or the right of eminent domain, Seller shall promptly give written notice thereof to Purchaser (which notice shall describe the type of action being taken against the Property, and which portions of the Property will be affected thereby). If the taking would substantially prevent Purchaser from continuing the existing use of the Property, then Purchaser shall have the right to terminate this Agreement by written notice to Seller given within ten (10) days following the date upon which Purchaser receives Seller's written notice of such action or proceeding, whereupon the Title Company shall release the Deposit to Purchaser, Purchaser shall promptly return all copies of all Property Documents to Seller, and thereupon neither party will have any further obligation or liability to the other party hereunder, except as otherwise expressly provided herein. If Purchaser does not elect to so terminate this Agreement within said ten (10) day period, this Agreement shall remain in full force and effect and the parties shall proceed to Closing without any reduction or adjustment in the Purchase Price (unless expressly agreed to by Seller in its sole discretion), except that all condemnation proceeds will be assigned to Purchaser.

10. **DEFAULT AND REMEDIES**.

10.1. Purchaser Default. If Purchaser is in default of one or more of Purchaser's material obligations under this Agreement other than a failure to timely close (for which there shall be no notice and cure period), then Seller may give notice to Purchaser (with a copy to Title Company) specifying the nature of the default. Purchaser shall have ten (10) business days after receiving that notice, but in no event beyond the Closing Date, within which to cure that default. If Purchaser fails to cure that default within that period or fails to timely close, then Seller's sole remedy for such default or failure to close shall be to terminate this Agreement by giving notice of such termination to Purchaser (with a copy to the Title Company) and receive the Deposit as liquidated damages. If Seller does so terminate this Agreement, then the Deposit will be retained by Seller, whereupon neither party shall have any further rights, duties or obligations hereunder, except as otherwise provided herein. Purchaser agrees that the retention of the Deposit by Seller represents a reasonable estimation as of the Effective Date of Seller's damages in the event of Purchaser's default hereunder, that actual damages would be impracticable or extremely difficult to ascertain, and that the provision for liquidated damages hereunder does not constitute a penalty. The parties acknowledge that these damages have been specifically negotiated between themselves and are,

among other things, to compensate Seller for taking the Property off the market, for Seller's costs and expenses associated with this Agreement and for Seller's lost opportunity costs. Purchaser hereby waives the rights and benefits of any law, rule, regulation, or order now or hereafter existing that would allow Purchaser to claim a refund of the Deposit as unearned earnest money, a penalty, or for any other reason. If, notwithstanding the provisions herein, a court determines that Seller is not entitled to retain the Deposit as a result of Purchaser's default hereunder, the Deposit shall be returned to Purchaser and Seller shall be entitled to seek any and all damages provided by law; provided, however, that any recovery thereof may not exceed the amount of the Deposit.

10.1.1. SELLER AND PURCHASER AGREE THAT PAYMENT OF THE DEPOSIT TO SELLER UNDER THIS SECTION 10 SHALL BE AS LIQUIDATED DAMAGES AND NOT AS A PENALTY.

10.2. Seller Default. In the event Seller shall: (a) fail to sell, transfer and assign the Property to Purchaser in violation of the terms of this Agreement, or (b) fail to perform any other material obligation of Seller hereunder (which failure is not cured within ten (10) business days of receiving notice from Purchaser (except no notice shall be required for failure to close), or (c) breach any material warranty made or granted by Seller under this Agreement, which breach is not cured by the Closing Date or waived by Purchaser in writing, or (d) have misrepresented any material fact, or any of the representations of Seller contained herein are not true, accurate or complete in any material respect, and Purchaser becomes aware of such untrue, inaccurate, or incomplete representation prior to Closing, then Purchaser shall, elect as its sole and exclusive remedy, (i) to declare in writing this Agreement to be null and void and demand and receive the return of the Deposit plus all costs and expenses incurred in connection with this Agreement, not to exceed $150,000 whereupon neither party shall have any further rights, duties or obligations hereunder except as otherwise provided herein, (ii) to sue for specific performance, provided any such action is initiated within ninety (90) days of such default, or (iii) to bring an action recover actual damages if a court determines that specific performance is not an available remedy (e.g. a third-party has a superior right to acquire the Property) and such unavailability is not due to Purchaser's actions. Purchaser specifically waives any and all right to consequential or punitive damages.

10.2.1. If Purchaser does not give Seller written notice of Seller's default or written notice of termination prior to Closing, then (i) the default shall be treated as waived by Purchaser and (ii) at Closing, Purchaser shall accept the Property subject to the default without any reduction in the Purchase Price and without any Claims against Seller on account of the default.

10.3. Termination. Upon any termination of this Agreement pursuant to any right of a party to terminate set forth in this Agreement, (a) the Note shall be returned to Purchaser or the Deposit shall be paid over to the party entitled to the same, as applicable, (b) all documents deposited by Purchaser and Seller into escrow shall be returned by the Title Company to the party depositing the same, and (c) all copies of all Property Documents provided to Purchaser by Seller shall be returned to Seller, whereupon the parties will have no continuing liability to each other unless otherwise expressly stated in any provision of this Agreement.

10.4. Attorneys' Fees; Advice of Counsel. Notwithstanding anything to the contrary in this Agreement, in the event that either Seller or Purchaser, as the case may be, shall bring any

suit, arbitration, action or appeal against the other party for breach of such party's obligations under this Agreement, the losing party shall pay the prevailing party's costs and expenses incurred in connection with such litigation, including without limitation reasonable attorneys' fees. The "prevailing party" shall be determined by the court hearing such matter. Each party acknowledges that it has consulted with and been represented by independent counsel, or declined to do so after having been advised to obtain independent counsel.

11. **NOTICES**. Any notice required or permitted to be given hereunder may be served by a party or its attorney and must be in writing and shall be deemed to be given when (a) hand delivered, or (b) one (1) business day after pickup by reputable overnight courier, or (c) transmitted by email, in any case addressed to the parties at their respective addresses set forth below:

If to Seller: Karuna Properties II, LLC
Karuna Properties II West, LLC
3514 N. Vancouver Avenue, Suite 320
Portland, Oregon 97227
Attn: Tim McCarron
Email: tmccarron@pingreenorthwest.com

With a copy to: Schwabe, Williamson & Wyatt, P.C.
1211 SW Fifth Avenue, Suite 1900
Portland, Oregon 97204
Attn: Greg Fullem, Steve Mach and Brendan Crowley
Email: gfullem@schwabe.com,
smach@schwabe.com and bcrowley@schwabe.com

If to Purchaser: School District No. 1J, Multnomah County, Oregon,
operating as Portland Public Schools
501 N. Dixon St
Portland, OR 97227
Attn: Liz Large
Email: llarge@pps.net

With a copy to: Miller Nash LLP
1140 SW Washington St, Ste 700
Portland, Oregon 97205
Attn: Jonathon Goodling and Nathaniel Levy
Email: Jonathon.Goodling@millernash.com
and Nathaniel.Levy@MillerNash.com

or in each case to such other address as either party may from time to time designate by giving notice in writing pursuant to this Section 11 to the other party. Telephone numbers and e-mail addresses are for informational purposes only. Effective notice will be deemed given only as provided above, except as otherwise expressly provided in this Agreement.

12. **MISCELLANEOUS**.

12.1. Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, all of which are incorporated by reference, is the entire agreement between the parties with respect to the subject matter hereof, and no alteration, modification or interpretation hereof shall be binding unless in writing and signed by both parties.

12.2. Severability. If any provision of this Agreement or its application to any party or circumstances shall be determined by any court of competent jurisdiction to be invalid and unenforceable to any extent, the remainder of this Agreement or the application of such provision to such person or circumstances, other than those as to which it is so determined invalid or unenforceable, shall not be affected thereby, and each provision hereof shall be valid and shall be enforced to the fullest extent permitted by law but only so long as the economic and legal substance of the transactions contemplated hereby is not affected in any manner materially adverse to any Party. Upon such determination that any term or other provision is invalid or unenforceable, the Parties shall negotiate in good faith to modify this Agreement so as to effect the original intent of the Parties as closely as possible in a mutually acceptable manner in order that the transactions be consummated as originally contemplated to the fullest extent possible.

12.3. Applicable Law. This Agreement shall be construed and enforced in accordance with the internal laws of the State of Oregon, without reference to such state's choice of law principles.

12.4. Assignability. Purchaser may not directly or indirectly assign or transfer any of Purchaser's rights, obligations and interests under this Agreement to any person or entity without the prior written consent or approval of Seller, which consent or approval must be requested in writing and received by Seller not less than five (5) business days prior to the Closing Date and which consent may be given in Seller's sole and absolute discretion, provided, however, that Seller hereby consents to Purchaser's assignment of Purchaser's rights, obligations and interests under this Agreement to an entity formed by Purchaser for purposes of taking title to the Property, which is controlled, directly or indirectly, by Purchaser or one or more of its principals, so long as notice of said assignment is provided not less than three (3) business days prior to the Closing Date. Upon any such assignment or other transfer, Purchaser and such assignee or transferee shall be jointly and severally liable for the obligations of Purchaser under this Agreement, which liability shall survive the assignment or transfer and the Closing.

12.5. Successors Bound. This Agreement shall be binding upon and inure to the benefit of Purchaser and Seller and their respective successors and permitted assigns.

12.6. Captions; Interpretation. The captions in this Agreement are inserted only as a matter of convenience and for reference and in no way define, limit or describe the scope of this Agreement or the scope or content of any of its provisions. Whenever the context may require, words used in this Agreement shall include the corresponding feminine, masculine, or neuter forms, and the singular shall include the plural and vice versa. Unless the context expressly indicates otherwise, all references to "Section" are to sections of this Agreement. It is acknowledged and presumed that the substance and form of this Agreement have been fully reviewed and negotiated by the parties hereto and approved as to form by them (and it they choose

to retain counsel, then by their respective counsel). It is further acknowledged and agreed that no presumption shall exist against either party hereto by virtue of this Agreement being considered to have been drafted by counsel for either party hereto.

12.7. No Partnership. Nothing contained in this Agreement shall be construed to create a partnership or joint venture between the parties or their successors in interest or permitted assigns.

12.8. Time of Essence. Time is of the essence with respect to the performance of the obligations of Seller and Purchaser under this Agreement.

12.9. Counterparts. Delivery of an executed counterpart of this Agreement by email (including copies executed by .PDF or DocuSign) shall be equally as effective as delivery of a manually executed counterpart of this Agreement but the failure to deliver a manually executed counterpart (in addition to a counterpart delivered by email) shall not affect the validity, enforceability or binding effect of this Agreement. This Agreement may be executed and delivered in any number of counterparts, each of which so executed and delivered shall be deemed to be an original and all of which shall constitute one and the same instrument.

12.10. Recordation. Purchaser and Seller agree not to record this Agreement or any memorandum hereof.

12.11. Proper Execution. This Agreement shall have no binding force and effect on either party unless and until both Purchaser and Seller shall have executed and delivered this Agreement.

12.12. Waiver. No waiver of any breach of any agreement or provision contained herein shall be deemed a waiver of any preceding or succeeding breach of any other agreement or provision herein contained. No extension of time for the performance of any obligation or act shall be deemed an extension of time for the performance of any other obligation or act.

12.13. Business Days. For purposes hereof, a "business day" is any day of the week, except for a Saturday, Sunday or Legal Holiday (hereinafter defined). In addition, if any date herein set forth for the performance of any obligations by Seller or Purchaser or for the delivery of any instrument or notice as herein provided should fall on a Saturday, Sunday or Legal Holiday (hereinafter defined), the compliance with such obligations or delivery shall be deemed acceptable on the next business day following such Saturday, Sunday or Legal Holiday. As used herein, the term "**Legal Holiday**" shall mean any local or federal holiday on which post offices are closed in the State of Oregon.

12.14. Limitation of Liability. No present or future partner, director, officer, member, shareholder, employee, advisor, affiliate, servicer or agent of or in Seller, Purchaser or any affiliate of any of the foregoing will have any personal liability, directly or indirectly, under or in connection with this Agreement or any agreement made or entered into under or in connection with the provisions of this Agreement, or any amendment or amendments to any of the foregoing made at any time or times, heretofore or hereafter. The limitations of liability contained in this paragraph will survive the termination of this Agreement or the Closing, as applicable, and are in addition to, and not in limitation of, any limitation on liability applicable to either party provided elsewhere in this Agreement or by law or by any other contract, agreement or instrument. In no

event will Seller or Purchaser be liable for any consequential, exemplary or punitive damages under any circumstances in connection with this Agreement or the Transaction.

12.15. Waiver of Jury Trial. Each party waives the right to trial by jury in connection with any dispute, claim or action arising from or in connection with this Agreement.

12.16. Statutory Land Use Notice. THE PROPERTY DESCRIBED IN THIS INSTRUMENT MAY NOT BE WITHIN A FIRE PROTECTION DISTRICT PROTECTING STRUCTURES. THE PROPERTY IS SUBJECT TO LAND USE LAWS AND REGULATIONS THAT, IN FARM OR FOREST ZONES, MAY NOT AUTHORIZE CONSTRUCTION OR SITING OF A RESIDENCE AND THAT LIMIT LAWSUITS AGAINST FARMING OR FOREST PRACTICES, AS DEFINED IN ORS 30.930, IN ALL ZONES. BEFORE SIGNING OR ACCEPTING THIS INSTRUMENT, THE PERSON TRANSFERRING FEE TITLE SHOULD INQUIRE ABOUT THE PERSON'S RIGHTS, IF ANY, UNDER ORS 195.300, 195.301 AND 195.305 TO 195.336 AND SECTIONS 5 TO 11, CHAPTER 424, OREGON LAWS 2007, SECTIONS 2 TO 9 AND 17, CHAPTER 855, OREGON LAWS 2009, AND SECTIONS 2 TO 7, CHAPTER 8, OREGON LAWS 2010. BEFORE SIGNING OR ACCEPTING THIS INSTRUMENT, THE PERSON ACQUIRING FEE TITLE TO THE PROPERTY SHOULD CHECK WITH THE APPROPRIATE CITY OR COUNTY PLANNING DEPARTMENT TO VERIFY THAT THE UNIT OF LAND BEING TRANSFERRED IS A LAWFULLY ESTABLISHED LOT OR PARCEL, AS DEFINED IN ORS 92.010 OR 215.010, TO VERIFY THE APPROVED USES OF THE LOT OR PARCEL, TO VERIFY THE EXISTENCE OF FIRE PROTECTION FOR STRUCTURES AND TO INQUIRE ABOUT THE RIGHTS OF NEIGHBORING PROPERTY OWNERS, IF ANY, UNDER ORS 195.300, 195.301 AND 195.305 TO 195.336 AND SECTIONS 5 TO 11, CHAPTER 424, OREGON LAWS 2007, SECTIONS 2 TO 9 AND 17, CHAPTER 855, OREGON LAWS 2009, AND SECTIONS 2 TO 7, CHAPTER 8, OREGON LAWS 2010.

13. CHARITABLE CONTRIBUTION.

Seller believes the fair market value of the Property exceeds the Purchase Price and Seller desires to make a charitable contribution to the Purchaser of any value in excess of the Purchase Price. Seller shall obtain a qualified appraisal to determine the actual amount no later than sixty (60) days following Closing. Seller's charitable contribution for public purposes and the terms of this Section 13 shall survive Closing and the recording of the Deeds. Seller acknowledges that Purchaser makes no representations as to the fair market value of the Property or the tax deductibility or other tax benefit resulting from any charitable contribution claimed by Seller pursuant to this Section 13. Seller has obtained and relies upon independent financial and legal advice as to the tax consequences of the Transaction. In connection with such charitable contribution for public purposes, Purchaser agrees, at no cost or expense to Purchaser, to take such actions and execute such documents as may be reasonably required to allow Seller to obtain an income tax deduction for such charitable contribution, including, execution of an Internal Revenue Service Form 8283 acknowledging the Transaction. Following Closing, Purchaser will reasonably cooperate and provide access to the Property for purposes of Seller completing the appraisal required for Seller to secure anticipated tax benefits of its charitable contribution. The foregoing notwithstanding, in connection with any such charitable contribution, (i) Purchaser shall not assume any responsibility for any tax consequences to Seller arising out of any such charitable

contribution effected pursuant to this Section 13, (ii) Seller shall reimburse Purchaser for all additional costs and expenses (including reasonable attorneys' fees) incurred by such other party in connection with any such charitable contribution; and (iii) Seller shall indemnify and hold Purchaser harmless from and against any and all loss, cost, damage, expense or other liability (including reasonable attorneys' fees) that Purchaser may incur or suffer in the performance of its obligations under this Section 13.

[Signature pages follow]

Purchaser and Seller have executed this Agreement effective as of the Effective Date.

SELLER:

KARUNA PROPERTIES II, LLC,
an Oregon limited liability company

By:_____
Name: _____
Title: _____

KARUNA PROPERTIES II WEST, LLC,
an Oregon limited liability company

By:_____
Name: _____
Title: _____

PURCHASER:

SCHOOL DISTRICT NO. 1J, MULTNOMAH COUNTY, OREGON, OPERATING AS PORTLAND PUBLIC SCHOOLS

By: _____
Name: _____
Title: _____

ACKNOWLEDGEMENT BY TITLE COMPANY

The undersigned Title Company executes this Agreement solely to evidence its agreement to serve as Title Company and escrow agent pursuant to the terms of the foregoing Agreement.

FIRST AMERICAN TITLE INSURANCE COMPANY

By:_____
Name: _____
Title: _____
Date: _____, 2025

INDEX OF SCHEDULES

Schedule 1.1.1(a) ..... Karuna East Land Legal Description

Schedule 1.1.1(b) ..... Karuna West Land Legal Description

Schedule 3.3 ..... Property Documents

Schedule 4.6. ..... Existing Leases

Schedule 6.1.4 ..... Form Tenant Estoppel Certificate

Schedule 8.1.1 ..... Form of Statutory Special Warranty Deed

Schedule 8.1.2. ..... Form of Assignment and Assumption Agreement – Leases

Schedule 8.1.3 ..... Form of Assignment and Assumption Agreement – Intangible Property

Schedule 8.1.10 ..... Form of Bill of Sale

Schedule 8.1.11 ..... Form of Tenant Notice Letter

SCHEDULE 1.1.1(a)

Karuna East Land Legal Description

Lots 6, 7, and 8, Block 30, Albina Homestead, in the City of Portland, County of Multnomah and State of Oregon.

SCHEDULE 1.1.1(b)

Karuna West Land Legal Description

Lots 9 and 10, Block 30, Albina Homestead, in the City of Portland, County of Multnomah and State of Oregon.

SCHEDULE 3.3

Property Documents

Copies of the following will be delivered to Purchaser to the extent that they are in Seller's or its management company's possession, custody, or control.

1. Title policy, if any.

2. Most recent survey in Seller's possession, if any.

3. Appraisals, construction drawings or engineering reports, if any.

4. Environmental Site Assessments, geological reports performed, or other additional environmental surveys including lead-based paint and asbestos on the Real Property, if any.

5. The Existing Leases (together with any amendments/agreements) and any guaranties of lease described in Schedule 4.6 hereof.

6. Actual monthly income and operating cost statements for the Property for the last three (3) years (but neither Seller nor Seller's management company shall be required to create any such breakdown/budgets to the extent not already in existence).

7. Real property tax statements for the last two (2) years.

8. Reciprocal easement agreements, if any.

9. All documents related to the formation, governance, and operation of Eco Commons.

10. Any other material information pertaining to the ownership of the Property.

11. Certificates of occupancy; government permits, land use approvals or conditions, or zoning restrictions affecting the Property.

12. List of tangible Personal Property included in sale.

13. Guarantees and warranties on roofs, major repairs, etc.

14. Capital expenditure records for the past five years.

15. Statement of structural alterations made to the premises.

16. Last two (2) years fire alarm testing reports, sprinkler testing reports, elevator inspection reports, and any other inspection reports prepared for the Property.

17. Maintenance records for the Property for the last two (2) years.

18. Service Contracts,

SCHEDULE 4.6

Existing Leases

A. Karuna East Leases

1. East Karuna Building Lease dated as of August 12, 2015 by and between Karuna Properties II, LLC, as landlord, and Northwest Urgent Care Phase II, LLC, as tenant, as amended by a First Amendment to Lease dated as of June 19, 2020

2. East Karuna Building Lease dated as of February 18, 2014 by and between Karuna Properties II, LLC, as landlord, and Instrument Marketing, Inc., as tenant, as amended by a First Lease Amendment dated as of May, 2018

3. Restaurant Lease Agreement dated as of December 27, 2019 by and between Karuna Properties II, LLC, as landlord, and Vaux Market LLC, as tenant, as amended by a First Amendment to Lease dated as of December 27, 2024

B. Karuna West Leases

1. Lease Agreement dated as of March 1, 2023 by and between Karuna Properties II West, LLC, as landlord, and Resource Innovations, Inc., as tenant

2. Lease Agreement dated as of May 3, 2023 by and between Karuna Properties II West, LLC, as landlord, and 1803 Fund, as tenant, as amended by First Amendment to Lease dated as of June 28, 2023

3. Lease Agreement dated as of February 1, 2023 by and between Karuna Properties II West, LLC, as landlord, and YBA Architects PC, as tenant

4. Office Lease Agreement dated as of June 30, 2016 by and between Karuna Properties II West, LLC, as landlord, and Karuna Consortium LLC, as tenant

5. Lease Agreement dated as of July 1, 2023 by and between Karuna Properties II West, LLC, as landlord, and Borders, Perrin & Norrander, Inc., as tenant

6. Lease Agreement dated as of January 16, 2024 by and between Karuna Properties II West, LLC, as landlord, and Karuna Consortium LLC, as tenant

SCHEDULE 6.1.4

Tenant Estoppel Certificate

TO: School District No. 1J, Multnomah County, Oregon,
operating as Portland Public Schools ("Purchaser")

_____
_____

and

Karuna Properties II [West], LLC ("Seller" or Landlord")

_____
_____

RE: Lease of space at [25 N Fremont St.][3506 - 3514 N Vancouver Ave.], Portland, Oregon (the "**Property**")

Ladies and Gentlemen:

Please refer to the documents (collectively, the "**Lease**") attached hereto as Exhibit A, pursuant to which the undersigned tenant ("**Tenant**") leases space on the Property (the "**Premises**") from Karuna Properties II [West], LLC, an Oregon limited liability company ("**Landlord**")[, with Tenant's obligations under the Lease guaranteed by its parent company, the undersigned guarantor ("**Guarantor**")]. Tenant [and Guarantor] understand that the purchaser identified by Landlord ("**Purchaser**") may be purchasing the Property wherein Tenant leases the Premises pursuant to the Lease and that Landlord, Purchaser, and each of their respective successors and assigns are relying upon this Tenant Estoppel Certificate (this "**Certificate**") in connection with such transaction.

With such understanding, Tenant [and Guarantor] hereby represent, warrant and agree, on behalf of themselves and their respective successors and assigns, for the benefit of Landlord, any Purchaser, and their respective successors and assigns, as follows:

1. The Lease is in full force and effect. A true, correct and complete copy of the Lease is attached hereto as Exhibit A. The Lease represents the entire agreement between the parties as to the Premises, and there are no side agreements, modifications, amendments, or supplements with respect thereto, except as set forth in Exhibit A.

2. Tenant [and Guarantor] assert no claim of default on the part of Landlord or offset or defense against the payment of rent or other charges payable by Tenant [or Guarantor], and assert no claims against the Landlord under the Lease in regard to the Premises and no basis exists for any such offset, defense or claim. To the best of Tenant's [and Guarantor's] knowledge and belief, there is no default by Landlord under the Lease and no event has

occurred that, with the passage of time or the giving of notice, or both, would constitute a default by Landlord under the Lease.

3. The monthly base rent under the Lease is $_____. All monthly base rent has been paid to the end of the current calendar month, and no rent under the Lease has been paid more than one month in advance, except as follows: NONE.

4. The Premises comprise approximately _____ square feet of space.

5. The Lease term commenced on _____ and terminates on _____; the rent commencement date was _____, and there are no options, rights of first refusal, or rights to extend, renew or terminate the term of the Lease, except for: _____.

6. Tenant is not in default under the Lease nor has any event occurred that, with the passage of time or the giving of notice, or both, would constitute a default or breach by Tenant. Tenant is current in the payment of any and all real property tax reimbursements, insurance reimbursements, utilities, operating expenses and other charges required to be paid by Tenant under the Lease. Tenant's share of operating expenses, real property taxes and insurance premiums under the Lease equals _____%.

7. There are no actions, voluntary or involuntary, pending against Tenant [or Guarantor] under the bankruptcy laws of the United States or any state thereof.

8. Landlord has completed all construction and improvements required under the terms of the Lease to be completed by Landlord, and the space and improvements required to be furnished according to the Lease have been duly delivered by Landlord and accepted by Tenant, and all required contributions, if any, by Landlord to Tenant on account of leasehold improvements in the Premises have been paid by Landlord.

9. Tenant has not assigned, transferred, or hypothecated the Lease or any interest therein or subleased all or any portion of the Premises, and has no notice of any prior assignment, hypothecation or pledge of the Lease or the rents due thereunder by Landlord.

10. Tenant has no knowledge of the presence, or any processing, use, storage, disposal, release or treatment, of any hazardous or toxic materials or substances at, on or beneath the Premises, which may violate any applicable law, rule or regulation of any governmental authority.

11. Tenant previously deposited with Landlord a security deposit in the amount of $_____ and, to Tenant's knowledge, no portion thereof has been previously applied by Landlord pursuant to the Lease.

12. Except as expressly set forth in the Lease, the Lease contains no (i) option or preferential right to expand or relocate the Premises or lease other space within the Property, (ii) option

to terminate the Lease, or (iii) option or preferential right to purchase all or any portion of the Property.

13. Tenant [and Guarantor] recognize and acknowledge that they are making these representations to Landlord and any Purchaser with the intent that Landlord, any Purchaser, and their respective successors and assigns may rely hereon.

15. If any lender or its designee succeeds to Landlord's or Purchaser's interest in the Property, or if a sale by power of sale or foreclosure occurs, Tenant shall attorn to such lender, its designee or a purchaser at such sale as its Landlord.

16. The individuals executing this Certificate on behalf of Tenant [and Guarantor] hereby represent and warrant that he or she is duly authorized to so execute this Certificate on behalf of Tenant [and Guarantor], as applicable.

Very truly yours,

NAME OF TENANT:

_____,
a(n) _____

By_____
Name:_____
Its:_____

[NAME OF GUARANTOR:

_____,
a(n) _____

By_____
Name:_____
Its:_____]

Exhibit A to Tenant Estoppel Certificate

Lease

SCHEDULE 8.1.1

[Form of Statutory Special Warranty Deed]

AFTER RECORDING RETURN TO:

_____
Attn: _____
_____
_____

UNTIL A CHANGE IS REQUESTED, ALL TAX
STATEMENTS SHALL BE SENT TO:

_____
Attn: _____
_____
_____

STATUTORY SPECIAL WARRANTY DEED

Karuna Properties II [West], LLC, an Oregon limited liability company ("Grantor"), conveys and specially warrants to School District No. 1J, Multnomah County, Oregon, operating as Portland Public Schools ("Grantee"), the following described real property free of encumbrances, except as specifically set forth herein:

The real property described in Exhibit "A" attached hereto (the "Property").

This conveyance is made by Grantor and accepted by Grantee subject to those liens, encumbrances and other exceptions to title set forth in Exhibit "B" attached hereto.

The true consideration for this conveyance is $_____.

BEFORE SIGNING OR ACCEPTING THIS INSTRUMENT, THE PERSON TRANSFERRING FEE TITLE SHOULD INQUIRE ABOUT THE PERSON'S RIGHTS, IF ANY, UNDER ORS 195.300, 195.301 AND 195.305 TO 195.336 AND SECTIONS 5 TO 11, CHAPTER 424, OREGON LAWS 2007, SECTIONS 2 TO 9 AND 17, CHAPTER 855, OREGON LAWS 2009, AND SECTIONS 2 TO 7, CHAPTER 8, OREGON LAWS 2010. THIS INSTRUMENT DOES NOT ALLOW USE OF THE PROPERTY DESCRIBED IN THIS INSTRUMENT IN VIOLATION OF APPLICABLE LAND USE LAWS AND REGULATIONS. BEFORE SIGNING OR ACCEPTING THIS INSTRUMENT, THE PERSON ACQUIRING FEE TITLE TO THE PROPERTY SHOULD CHECK WITH THE APPROPRIATE CITY OR COUNTY PLANNING DEPARTMENT TO VERIFY THAT THE UNIT OF LAND BEING TRANSFERRED IS A LAWFULLY ESTABLISHED LOT OR PARCEL, AS DEFINED IN ORS 92.010 OR 215.010, TO VERIFY THE APPROVED USES OF THE LOT OR PARCEL, TO DETERMINE ANY LIMITS ON LAWSUITS AGAINST FARMING OR FOREST PRACTICES, AS DEFINED IN ORS 30.930, AND TO INQUIRE ABOUT THE RIGHTS OF NEIGHBORING PROPERTY OWNERS, IF ANY, UNDER ORS 195.300, 195.301 AND 195.305 TO 195.336 AND SECTIONS 5 TO 11, CHAPTER 424, OREGON LAWS 2007,

SECTIONS 2 TO 9 AND 17, CHAPTER 855, OREGON LAWS 2009, AND SECTIONS 2 TO 7, CHAPTER 8, OREGON LAWS 2010.

Dated _____, 2025.

KARUNA PROPERTIES II [WEST], LLC
an Oregon limited liability company

By:_____

Name:_____
Title:_____

STATE OF OREGON
COUNTY OF _____

The foregoing instrument was acknowledged before me this ____ day of _____, 2025, by _____, as _____ of Karuna Properties II [West], LLC, an Oregon limited liability company, on behalf of the limited liability company.

_____
NOTARY PUBLIC
Name:_____
My Commission Expires:

The foregoing conveyance is hereby accepted.

SCHOOL DISTRICT NO. 1J, MULTNOMAH COUNTY, OREGON, OPERATING AS PORTLAND PUBLIC SCHOOLS

By: _____

Name: _____

Title :_____

SCHEDULE 8.1.2

Form of Assignment and Assumption Agreement

ASSIGNMENT AND ASSUMPTION AGREEMENT
(Leases)

THIS ASSIGNMENT AND ASSUMPTION AGREEMENT (this "**Agreement**") is dated _____ __, 2025, by and between Karuna Properties II [West], LLC, an Oregon limited liability company ("**Assignor**"), and School District No. 1J, Multnomah County, Oregon, operating as Portland Public Schools ("**Assignee**").

WHEREAS, Assignor and Assignee entered into that certain Purchase and Sale Agreement dated as of _____ ____, 2025 (the "**Purchase and Sale Agreement**") for the sale and purchase of certain "Property," consisting of "Real Property," "Personal Property," "Permits," "Entitlements" and "General Intangibles," as said terms are defined in the Purchase and Sale Agreement;

WHEREAS, Assignor desires to assign unto Assignee all of Assignor's right, title and interest in and to the Leases as hereinafter provided; and

WHEREAS, Assignee desires to assume the duties and obligations of Assignor with respect to the Leases as hereinafter provided.

NOW, THEREFORE, in accordance with the Purchase and Sale Agreement and in consideration of the sum of Ten Dollars ($10.00), the sufficiency and receipt of which are hereby acknowledged, the parties do hereby covenant and agree as follows and take the following actions:

1. Assignor does hereby assign unto Assignee all of the Assignor's right, title and interest in and to any and all leases, tenancies, licenses and other rights of occupancy or use of or for any portion of the Real Property (including all amendments, renewals and extensions thereof) and including all security deposits, prepaid rents, and all guaranties in connection with the same, more particularly described on the Rent Roll attached hereto as Exhibit "A" (collectively, the "**Leases**").

2. Assignee hereby accepts the foregoing assignment of the Leases and hereby assumes all duties and obligations of Assignor for the period on and after the date of this Agreement, including with respect to any and all refundable deposits paid by tenants (and required interest on those deposits, if any) under the Leases as of the date hereof. Subject to the applicable terms of the Oregon Constitution and the limitations imposed in favor of Assignee by the Oregon Tort Claims Act. Assignee shall defend, indemnify and hold harmless Assignor from and against any and all claims, demands, causes of action, losses, damages, liabilities, judgments, costs and expenses (including attorneys' fees, whether suit is instituted or not) asserted against or incurred by Assignor in connection with (a) any acts or omissions on or after the date of this Agreement with respect to the Leases, and/or (b) the deposits and interest assumed by Assignee hereunder.

3. Assignor shall defend, indemnify and hold harmless Assignee from and against any and all claims, demands, causes of action, losses, damages, liabilities, judgments, costs and expenses (including attorneys' fees, whether suit is instituted or not) asserted against or incurred by Assignee in connection with any acts or omissions before the date of this Agreement with respect to the Leases.

4. This Agreement shall be (a) binding upon, and inure to the benefit of, the parties to this Agreement and their respective heirs, legal representatives, successors and assigns, and (b) construed in accordance with the laws of the State of Oregon, without regard to the application of choice of law principles. In the event of any action or suit (including any appellate proceeding) by either party hereto against the other arising from or interpreting this Agreement, the prevailing party in such action or suit shall, in addition to such other relief as may be granted, be entitled to recover its costs of suit and actual attorney's fees, whether or not the same proceeds to final judgment.

5. This Agreement may be executed in any number of counterparts, each of which, when executed and delivered, shall together constitute one and the same instrument. Execution of this Agreement by the parties hereto may be evidenced by the transmission of electronic copies (including copies executed by .PDF or DocuSign), which shall have the same effect as an original.

[Signature Page Follows]

This Agreement has been signed and delivered by the parties as of the date first above written.

ASSIGNOR:

KARUNA PROPERTIES II [WEST], LLC,
an Oregon limited liability company

By:_____
Name:_____
Title:_____

ASSIGNEE:

SCHOOL DISTRICT NO. 1J, MULTNOMAH COUNTY, OREGON, operating as Portland Public Schools

By:_____
Name:_____
Title:_____

Exhibit A

Rent Roll

SCHEDULE 8.1.3

Form of Assignment and Assumption Agreement

ASSIGNMENT AND ASSUMPTION AGREEMENT
(Intangible Property)

THIS ASSIGNMENT AND ASSUMPTION AGREEMENT (this "**Agreement**") is dated _____ __, 2025, by and between Karuna Properties II [West], LLC, an Oregon limited liability company ("**Assignor**"), and School District No. 1J, Multnomah County, Oregon, operating as Portland Public Schools ("**Assignee**").

WHEREAS, Assignor and Assignee entered into that certain Purchase and Sale Agreement dated as of _____, 2025 (the "**Purchase and Sale Agreement**") for the sale and purchase of certain "Property," consisting of "Real Property," "Personal Property," "Lease," "Permits," "Entitlements," and "General Intangibles," as said terms are defined in the Purchase and Sale Agreement;

WHEREAS, the Permits, Entitlements, and General Intangibles are referred to herein collectively as the "**Intangible Property**."

WHEREAS, Assignor desires to quitclaim unto Assignee all of Assignor's right, title and interest in and to the Intangible Property; and

WHEREAS, Assignee desires to assume the duties and obligations of Assignor with respect to the Intangible Property.

NOW, THEREFORE, in accordance with the Purchase and Sale Agreement and in consideration of the sum of Ten Dollars ($10.00), the sufficiency and receipt of which are hereby acknowledged, the parties do hereby covenant and agree as follows and take the following actions:

1. Assignor does hereby transfer and assign unto Assignee all of the Assignor's right, title and interest in and to the following property to the extent the same is transferable by Assignor:

(a) any and all licenses, permits, authorizations, certificates of occupancy and other approvals that are in effect as of the date of this Agreement and necessary for the current use and operation of the Real Property (collectively, the "**Permits**");

(b) any and all zoning and development rights, entitlements, utility service capacity reservations and/or allocations that are in effect as of the date of this Agreement and relate to or benefit the Real Property (collectively, the "**Entitlements**") and

(c) any and all manufacturer or service warranties, surveys, studies and architectural or engineering plans and specifications that exist as of the date of this Agreement and relate to the Real Property or the Personal Property or any rights to any names, telephone numbers, facsimile numbers or website or other social media sites related to the Property (collectively, the "**General Intangibles**").

2. THE INTANGIBLE PROPERTY IS BEING TRANSFERRED "AS IS", "WHERE IS", AND "WITH ALL FAULTS" AS OF THE DATE OF THIS AGREEMENT, WITHOUT ANY REPRESENTATION OR WARRANTY WHATSOEVER AS TO ITS CONDITION, FITNESS FOR ANY PARTICULAR PURPOSE, MERCHANTABILITY OR ANY OTHER WARRANTY, EXPRESS OR IMPLIED. ASSIGNOR SPECIFICALLY DISCLAIMS ANY WARRANTY, GUARANTY OR REPRESENTATION, ORAL OR WRITTEN, PAST OR PRESENT, EXPRESS OR IMPLIED, CONCERNING THE INTANGIBLE PROPERTY OR ASSIGNOR'S TITLE THERETO. ASSIGNEE IS HEREBY THUS ACQUIRING THE INTANGIBLE PROPERTY BASED SOLELY UPON ASSIGNEE'S OWN INDEPENDENT INVESTIGATIONS AND INSPECTIONS OF THAT PROPERTY AND NOT IN RELIANCE UPON ANY INFORMATION PROVIDED BY ASSIGNOR OR ASSIGNOR'S AGENTS OR CONTRACTORS.

3. Assignee hereby accepts the foregoing assignment of the Intangible Property and hereby assumes all duties and obligations of Assignor with respect to the Intangible Property for the period on and after the date of this Agreement.

4. This Agreement shall be (a) binding upon, and inure to the benefit of, the parties to this Agreement and their respective heirs, legal representatives, successors and assigns, and (b) construed in accordance with the laws of the State of Oregon, without regard to the application of choice of law principles. In the event of any action or suit (including any appellate proceeding) by either party hereto against the other arising from or interpreting this Agreement, the prevailing party in such action or suit shall, in addition to such other relief as may be granted, be entitled to recover its costs of suit and actual attorney's fees, whether or not the same proceeds to final judgment.

5. This Agreement may be executed in any number of counterparts, each of which, when executed and delivered, shall together constitute one and the same instrument. Execution of this Agreement by the parties hereto may be evidenced by the transmission of electronic copies (including copies executed by .PDF or DocuSign), which shall have the same effect as an original.

[Signature Page Follows]

This Agreement has been signed and delivered by the parties as of the date first above written.

ASSIGNOR:

KARUNA PROPERTIES II [WEST], LLC,
an Oregon limited liability company

By:_____
Name:_____
Title:_____

ASSIGNEE:

SCHOOL DISTRICT NO. 1J, MULTNOMAH COUNTY, OREGON, operating as Portland Public Schools

By:_____
Name:_____
Title:_____

SCHEDULE 8.1.10

Form of Bill of Sale

BILL OF SALE

KARUNA PROPERTIES II, LLC, AND KARUNA PROPERTIES II WEST, LLC, each an Oregon limited liability company (each individually and collectively, "**Seller**"), in accordance with the Purchase and Sale Agreement dated as of _____, 2025 (the "**Purchase and Sale Agreement**"), and in consideration of the sum of Ten Dollars ($10.00) (the sufficiency and receipt of which are hereby acknowledged), do hereby collectively quitclaim unto SCHOOL DISTRICT NO. 1J, MULTNOMAH COUNTY, OREGON, OPERATING AS PORTLAND PUBLIC SCHOOLS ("**Purchaser**"), all of Seller's right, title and interest in and to all of the furniture, furnishings, fixtures, equipment and other tangible personal property (collectively, "**Personal Property**") that is now affixed to and/or located on the "Real Property" (as said term is defined in the Purchase and Sale Agreement), having a street address of 25 N Fremont St., Portland, Oregon 97227, and 3506 - 3514 N Vancouver Ave., Portland, Oregon 97227.

TO HAVE AND TO HOLD the Personal Property unto Purchaser and Purchaser's heirs, legal representatives, successors and assigns forever. Seller represents and warrants to Purchaser that Seller has marketable title to the Personal Property, free and clear of all liens, security interests, and claims of third parties.

THE PERSONAL PROPERTY IS BEING TRANSFERRED "**AS IS**", "**WHERE IS**", AND "**WITH ALL FAULTS**" AS OF THE DATE OF THIS BILL OF SALE, WITHOUT ANY REPRESENTATION OR WARRANTY WHATSOEVER AS TO ITS CONDITION, FITNESS FOR ANY PARTICULAR PURPOSE MERCHANTABILITY OR ANY OTHER WARRANTY, EXPRESS OR IMPLIED. SELLER SPECIFICALLY DISCLAIMS ANY WARRANTY, GUARANTY OR REPRESENTATION, ORAL OR WRITTEN, PAST OR PRESENT, EXPRESS OR IMPLIED, CONCERNING THE PERSONAL PROPERTY OR SELLER'S TITLE THERETO. PURCHASER IS HEREBY THUS ACQUIRING THE PERSONAL PROPERTY BASED SOLELY UPON PURCHASER'S OWN INDEPENDENT INVESTIGATIONS AND INSPECTIONS OF THAT PROPERTY AND NOT IN RELIANCE UPON ANY INFORMATION PROVIDED BY SELLER OR SELLER'S AGENTS OR CONTRACTORS. SELLER HAS MADE NO AGREEMENT TO ALTER, REPAIR OR IMPROVE ANY OF THE PERSONAL PROPERTY.

[Signature Page Follows]

Seller has signed and delivered this Bill of Sale as of the _____ day of _____, 2025.

SELLER:

KARUNA PROPERTIES II, LLC,
an Oregon limited liability company

By:_____
Name:_____
Title:_____

KARUNA PROPERTIES II WEST, LLC,
an Oregon limited liability company

By:_____
Name:_____
Title:_____

SCHEDULE 8.1.11

Form of Tenant Notice Letter

TENANT NOTICE LETTER

_____ ____, 202_

VIA CERTIFIED MAIL,
RETURN RECEIPT REQUESTED

_____
_____
_____

Dear Tenant:

We are pleased to advise you the certain [Lease] dated _____, as amended from time to time (the "Lease"), for the premises located at [25 N Fremont St.][3506 - 3514 N Vancouver Ave.], Portland, Oregon 97227, has been assigned by Karuna Properties II [West], LLC, an Oregon limited liability company ("Assignor"), to School District No. 1J, Multnomah County, Oregon, operating as Portland Public Schools ("Assignee") effective as of _____, 2025. The Lease has been assigned, assumed, and accepted by Assignee and Assignee has agreed to assume all responsibility for any security deposit(s) currently held under the Lease.

All future correspondence relating to your tenancy, as well as rent checks and other charges, should be made payable to:

_____
_____
_____

Assignee looks forward to working with you in the operation of this property.

Very truly yours,

ASSIGNOR:

KARUNA PROPERTIES II [WEST],
an Oregon limited liability company

By: _____
Name: _____
Its: _____